INTC / OCTOBER 21, 2026 / FRAMEWORK 8.0

Intel: execution must become profitable external output

Intel can capture more AI infrastructure spending through server CPUs, owned custom silicon, advanced packaging and external wafer manufacturing. The investment case depends on qualified output, useful product economics and the share of profit ultimately available to common shareholders. Larger industry spending alone does not establish Intel revenue.

The selected Q4 2027 operating-profit ceiling is USD 99 per share. It uses USD 21,094 million of parent-economic operating profit across Q4 2027 through Q3 2028, a 25 times multiple and 5,322 million starting-quarter model shares. This October review leaves that forecast unchanged after a complete examination of the new J.P.Morgan pages and their overlap with existing management evidence.

The forecast already assumes substantial execution: selected revenue approaches USD 79 billion in 2027 and USD 151 billion in 2030, while parent-economic operating profit rises from about USD 16 billion to USD 41 billion. The upside mechanism is a larger external sales base with better manufacturing economics. The risk is that yield, customer conversion, capital needs or competing architectures prevent that earnings path from reaching shareholders.

INTC / CURRENT COMPANY STATE

Report basis and reading units

Research date: October 21, 2026. Latest reported quarter: June 27, released July 23. Q3 results remain future on October 29. Financial tables use USD millions unless expressly labeled; shares use millions and ceilings use USD per share. Main reader copy uses whole numbers. Nonzero amounts below one display as <1 or -<1; true zero remains zero. Source exhibit decimals are unchanged.

The technical supplement reconciles at six-decimal shown precision; full financial precision remains in the linked model. Charts use the same full-precision observations as their complete adjacent tables. The selected Q4 2027 ceiling is a model estimate, not company guidance, a bank price target or a market-price return forecast.

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What the market has to resolve

A recovering CPU franchise can generate cash and support the factory network, but external foundry value requires a separate paying customer and competitive production economics. Intel combines CPU IP, engineering talent, domestic fabrication and packaging in a way few competitors can reproduce. Those capabilities become economically valuable when customers accept sufficient output at prices that pay for manufacturing, support and continuing development.

The useful analytical distinction is the invoice Intel owns. An Intel-designed ASIC belongs in owned custom-silicon revenue. Packaging a chip fabricated elsewhere earns packaging content. Internal Foundry

transfers are eliminated at the group level. Treating every strategic relationship as a full leading-edge chip sale would overstate both revenue and profit.

A favorable outcome could also reduce the capital and dilution discount attached to the turnaround. The current model does not credit that rerating separately: it retains the selected 25 times profit method, explicit minority allocation and the saved share convention. It offers an earnings-based ceiling rather than a fully financed project valuation.

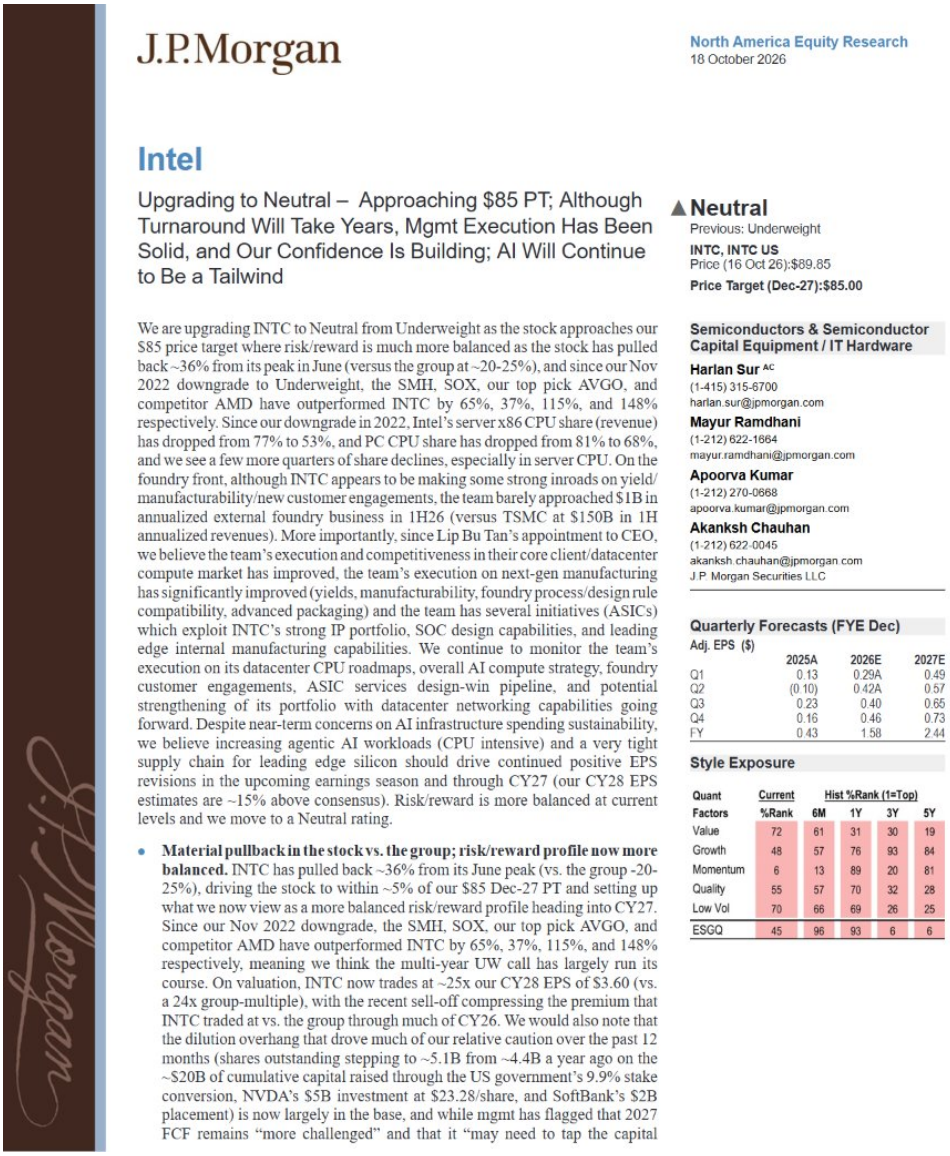
The October bank report adds confidence, with no new revenue pool

The three supplied J.P.Morgan pages are dated October 18. They describe tight Granite Rapids supply, customer LTAs, 18A-P progress, the 14A roadmap, EMIB-T and an ASIC business moving from roughly USD 2 billion toward a prospective USD 4 billion annual run rate. These are relevant to the thesis, but the underlying quantified evidence largely repeats April and July management commentary.

The prospective USD 4 billion run rate is not a signed USD 4 billion order or backlog. The saved DCAI and owned-custom-silicon path already reaches USD 34 billion in 2027, USD 44 billion in 2028, USD 58 billion in 2029 and USD 76 billion in 2030. The bank pages do not identify another independently priced customer pool above that expansion.

Likewise, approximately USD 1 billion of annualized external foundry revenue refers to the first-half base: USD 174 million plus USD 293 million equals USD 467 million, or USD 934 million annualized. It does not create another USD 1 billion quarterly invoice. The bank's price target, EPS estimate, peer valuation and October 16 quote remain attributed source context; none is imported into the selected method.

The review retains the nonzero probabilities attached to existing programs and the finite CPU price case. It introduces no new bank-related revenue, cost, capital or dilution layer after source and forecast overlap. Further conversion evidence could still change the model; a second assessment of the same underlying facts does not constitute an independent second demand pool.



J.P.Morgan

North America Equity Research
18 October 2026

Intel

Upgrading to Neutral – Approaching $85 PT; Although Turnaround Will Take Years, Mgmt Execution Has Been Solid, and Our Confidence Is Building; AI Will Continue to Be a Tailwind

▲ **Neutral**
Previous: Underweight

INTC, INTC US
Price (16 Oct 26):$89.85
Price Target (Dec-27):$85.00

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Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	0.13	0.29A	0.49
Q2	(0.10)	0.42A	0.57
Q3	0.23	0.40	0.65
Q4	0.16	0.46	0.73
FY	0.43	1.58	2.44

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	72	61	31	30	19
Growth	48	57	76	93	84
Momentum	6	13	89	20	81
Quality	55	57	70	32	28
Low Vol	70	66	69	26	25
ESGQ	45	96	93	6	6

We are upgrading INTC to Neutral from Underweight as the stock approaches our $85 price target where risk/reward is much more balanced as the stock has pulled back ~36% from its peak in June (versus the group at ~20-25%), and since our Nov 2022 downgrade to Underweight, the SMH, SOX, our top pick AVGO, and competitor AMD have outperformed INTC by 65%, 37%, 115%, and 148% respectively. Since our downgrade in 2022, Intel's server x86 CPU share (revenue) has dropped from 77% to 53%, and PC CPU share has dropped from 81% to 68%, and we see a few more quarters of share declines, especially in server CPU. On the foundry front, although INTC appears to be making some strong inroads on yield/manufacturability/new customer engagements, the team barely approached $1B in annualized external foundry business in 1H26 (versus TSMC at $150B in 1H annualized revenues). More importantly, since Lip Bu Tan's appointment to CEO, we believe the team's execution and competitiveness in their core client/datacenter compute market has improved, the team's execution on next-gen manufacturing has significantly improved (yields, manufacturability, foundry process/design rule compatibility, advanced packaging) and the team has several initiatives (ASICs) which exploit INTC's strong IP portfolio, SOC design capabilities, and leading edge internal manufacturing capabilities. We continue to monitor the team's execution on its datacenter CPU roadmaps, overall AI compute strategy, foundry customer engagements, ASIC services design-win pipeline, and potential strengthening of its portfolio with datacenter networking capabilities going forward. Despite near-term concerns on AI infrastructure spending sustainability, we believe increasing agentic AI workloads (CPU intensive) and a very tight supply chain for leading edge silicon should drive continued positive EPS revisions in the upcoming earnings season and through CY27 (our CY28 EPS estimates are ~15% above consensus). Risk/reward is more balanced at current levels and we move to a Neutral rating.

- **Material pullback in the stock vs. the group; risk/reward profile now more balanced.** INTC has pulled back ~36% from its June peak (vs. the group -20-25%), driving the stock to within ~5% of our $85 Dec-27 PT and setting up what we now view as a more balanced risk/reward profile heading into CY27. Since our Nov 2022 downgrade, the SMH, SOX, our top pick AVGO, and competitor AMD have outperformed INTC by 65%, 37%, 115%, and 148% respectively, meaning we think the multi-year UW call has largely run its course. On valuation, INTC now trades at ~25x our CY28 EPS of $3.60 (vs. a 24x group-multiple), with the recent sell-off compressing the premium that INTC traded at vs. the group through much of CY26. We would also note that the dilution overhang that drove much of our relative caution over the past 12 months (shares outstanding stepping to ~5.1B from ~4.4B a year ago on the ~$20B of cumulative capital raised through the US government's 9.9% stake conversion, NVDA's $5B investment at $23.28/share, and SoftBank's $2B placement) is now largely in the base, and while mgmt has flagged that 2027 FCF remains "more challenged" and that it "may need to tap the capital

J.P.Morgan, October 18, 2026, first supplied page. Broker execution assessment and capital/dilution context. Its rating, price target, EPS and peer multiple are not imported into the company model.

markets" again, we think the risk of further significant dilution is increasingly discounted at current levels.

- **Execution and competitiveness have materially improved under Lip Bu Tan.** Since Lip Bu Tan took over as CEO, we think the team's execution across core compute, manufacturing, and strategic positioning has meaningfully improved. On the core compute side, DCAI/server has emerged as INTC's largest profit pool, with 2Q26 DCAI operating income of $2.5B surpassing Client for the first time, and Granite Rapids demand characterized as "extremely tight" with Google + other LTAs extending visibility well into CY27. CCPG continues to benefit from favorable ASP/mix dynamics (AI PC now two-thirds of client mix) even as memory-driven BOM inflation pressures PC units through 2H26 and into CY27. On the manufacturing side, we see a step-change, with 18A-P in risk production, and 14A now fully committed to 2028 HVM and risk production targeted for 2H27 (0.9 PDK landing in October). We would also point to materially better yields, manufacturability, foundry process/design-rule compatibility, and advanced packaging (EMIB-T backlog building toward 2027 ramps) as evidence that the technology foundation has stabilized. Finally, on strategic positioning, the ASIC services initiative is approaching a ~$2B run-rate (~3x Y/Y) with a path toward $4B, leveraging INTC's strong IP portfolio, SoC design capabilities, and leading-edge internal manufacturing - an increasingly important optionality lever as hyperscaler custom silicon spend accelerates.
- **Key proof-points we continue to monitor….market will need to continue to be patient...** While we are stepping off UW, we remain Neutral pending (1) continued execution on the datacenter CPU roadmap and the competitive response to AMD's Turin/ Venice/Verano all critical to sustaining the DCAI margin trajectory; (2) more concrete progress on the overall AI compute strategy, including the Crescent Island GPU (recently rebranded as "D-Series") ramp and incremental AI-ASIC and inference-accelerator design-win disclosures; (3) external foundry customer wins; and (4) potential strengthening of the portfolio with datacenter networking capabilities (either organic or inorganic) given the increasing importance of networking as the fastest-growing layer of the AI stack. We would also continue to monitor the capital structure trajectory, with mgmt explicit that 2027 FCF is "more challenged" and that further capital markets activity may be required, incremental dilution is a key risk.

J.P.Morgan, October 18, 2026, second supplied page. Broker comments on server demand, product mix, manufacturing progress, ASIC services and capital-market risk. These comments do not establish new accepted foundry or packaging invoices.

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Latest actual results and the next reporting boundary

The latest reported quarter ended June 27 and was released July 23. Q3 results remain future as of this October 21 review: Intel plans to report October 29 after the close, with the call at 5 pm EDT. This report does not treat an unreported quarter as an actual result.

Second-quarter revenue was USD 16,128 million. Gross profit of USD 6,509 million less R&D of USD 3,368 million, marketing and administration of USD 1,175 million, and restructuring and other charges of USD 170 million produces GAAP operating profit of USD 1,796 million. The USD 12,529 million escrow-share fair-value loss sits below operating profit; it is not manufacturing expense or a cash factory investment.

The July guide for Q3 was USD 15,800-16,800 million revenue, with a USD 16,300 million midpoint. The selected first forecast quarter uses that midpoint and a 41% gross margin on the GAAP-style basis. The separate 42% non-GAAP margin does not replace it. [I01; I02; I06; I07]

Q2 2026 consolidated actual cost bridge (USD millions).

Measure	USD million
Revenue	16,128
Cost of sales	9,619
Gross profit	6,509
R&D	3,368
Marketing and administration	1,175
Restructuring and other	170
Total operating expense	4,713
GAAP operating profit	1,796
Below-OP escrow fair-value loss	12,529

Consolidated Condensed Statements of Operations

(In Millions, Except Per Share Amounts; Unaudited)	Three Months Ended Jun 27, 2026	Three Months Ended Jun 28, 2025	Six Months Ended Jun 27, 2026	Six Months Ended Jun 28, 2025
Net revenue	$ 16,128	$ 12,859	$ 29,705	$ 25,526
Cost of sales	9,619	9,317	17,849	17,312
Gross profit	6,509	3,542	11,856	8,214
Research and development	3,368	3,684	6,743	7,324
Marketing, general, and administrative	1,175	1,144	2,213	2,321
Restructuring and other charges	170	1,890	4,240	2,046
Operating expenses	4,713	6,718	13,196	11,691
Operating income (loss)	1,796	(3,176)	(1,340)	(3,477)
Gains (losses) on equity investments, net	(39)	502	(111)	390
Interest and other, net	(12,576)	(95)	(13,314)	(268)
Income (loss) before taxes	(10,819)	(2,769)	(14,765)	(3,355)
Provision for (benefit from) taxes	29	255	364	556
Net income (loss)	(10,848)	(3,024)	(15,129)	(3,911)
Less: net income (loss) attributable to non-controlling interests	185	(106)	(368)	(172)
Net income (loss) attributable to Intel	$ (11,033)	$ (2,918)	$ (14,761)	$ (3,739)
Earnings (loss) per share attributable to Intel—basic	$ (2.16)	$ (0.67)	$ (2.89)	$ (0.86)
Earnings (loss) per share attributable to Intel—diluted	$ (2.16)	$ (0.67)	$ (2.89)	$ (0.86)
Weighted average shares of common stock outstanding:				
Basic	5,104	4,369	5,108	4,356
Diluted	5,104	4,369	5,108	4,356

See accompanying notes.

Q2 and H1 consolidated GAAP income statement. Cost of sales, R&D, marketing/administration and restructuring are separate from below-OP financing and escrow mark-to-market. Source values are USD millions.

Reported segments and the corporate cost bridge

CCPG revenue was USD 8,877 million and segment operating profit USD 2,343 million. DCAI revenue was USD 6,262 million and segment operating profit USD 2,474 million. These segment operating profits are not consolidated product gross margins. Corporate SBC and other unallocated costs still have to be paid.

Foundry reported USD 5,765 million of segment revenue, including internal billing, and a USD 2,089 million segment operating loss. Only USD 293 million of Foundry revenue was external. The selected five-vector model eliminates internal transactions and retains manufacturing costs within the group build. Subtracting the entire internal Foundry loss a second time would duplicate costs.

The reported corporate-unallocated line includes USD 687 million of SBC in Q2. The forward operating-profit basis retains ordinary SBC, production depreciation and normal engineering. The model does not turn adjusted segment profit into free cash or parent earnings without those obligations. [I02, PDF pages 5 and 13]

Q2 reported operating segments and reconciliation (USD millions).

Line	Revenue	Operating profit
CCPG	8,877	2,343
DCAI	6,262	2,474
Foundry, including internal	5,765	-2,089
All other	701	230
Intersegment elimination	-5,477	254
Corporate unallocated	-	-1,416
Group reported	16,128	1,796

Net revenue, cost of sales and operating expenses and operating income (loss) for each period were as follows:

(In Millions)	Three Months Ended Jun 27, 2026							
	Intel Products							
	CCPG	DCAI	Total Intel Products	Intel Foundry	All Other	Corporate Unallocated	Intersegment Eliminations	Total Consolidated
Revenue	**$ 8,877**	**$ 6,262**	**$ 15,139**	**$ 5,765**	**$ 701**	**$ —**	**$ (5,477)**	**$ 16,128**
Cost of sales and operating expenses	6,534	3,788	**10,322**	7,854	471	1,416	(5,731)	**14,332**
Operating income (loss)	**$ 2,343**	**$ 2,474**	**$ 4,817**	**$ (2,089)**	**$ 230**	**$ (1,416)**	**$ 254**	**$ 1,796**

(In Millions)	Three Months Ended Jun 28, 2025							
	Intel Products							
	CCPG	DCAI	Total Intel Products	Intel Foundry	All Other	Corporate Unallocated	Intersegment Eliminations	Total Consolidated
Revenue	**$ 7,871**	**$ 3,939**	**$ 11,810**	**$ 4,417**	**$ 1,053**	**$ —**	**$ (4,421)**	**$ 12,859**
Cost of sales and operating expenses	5,818	3,306	**9,124**	7,585	984	2,755	(4,413)	**16,035**
Operating income (loss)	**$ 2,053**	**$ 633**	**$ 2,686**	**$ (3,168)**	**$ 69**	**$ (2,755)**	**$ (8)**	**$ (3,176)**

(In Millions)	Six Months Ended Jun 27, 2026							
	Intel Products							
	CCPG	DCAI	Total Intel Products	Intel Foundry	All Other	Corporate Unallocated	Intersegment Eliminations	Total Consolidated
Revenue	**$ 16,604**	**$ 11,314**	**$ 27,918**	**$ 11,186**	**$ 1,329**	**$ —**	**$ (10,728)**	**$ 29,705**
Cost of sales and operating expenses	11,745	7,298	**19,043**	15,712	997	6,496	(11,203)	**31,045**
Operating income (loss)	**$ 4,859**	**$ 4,016**	**$ 8,875**	**$ (4,526)**	**$ 332**	**$ (6,496)**	**$ 475**	**$ (1,340)**

(In Millions)	Six Months Ended Jun 28, 2025							
	Intel Products							
	CCPG	DCAI	Total Intel Products	Intel Foundry	All Other	Corporate Unallocated	Intersegment Eliminations	Total Consolidated
Revenue	**$ 15,500**	**$ 8,065**	**$ 23,565**	**$ 9,084**	**$ 1,996**	**$ —**	**$ (9,119)**	**$ 25,526**
Cost of sales and operating expenses	11,086	6,857	**17,943**	14,572	1,824	4,015	(9,351)	**29,003**
Operating income (loss)	**$ 4,414**	**$ 1,208**	**$ 5,622**	**$ (5,488)**	**$ 172**	**$ (4,015)**	**$ 232**	**$ (3,477)**

Corporate Unallocated Expenses

Corporate unallocated expenses include certain operating expenses not allocated to specific operating segments. The nature of these expenses may vary, but primarily consist of restructuring and other charges, share-based compensation and certain acquisition-related costs.

(In Millions)	Three Months Ended Jun 27, 2026	Three Months Ended Jun 28, 2025	Six Months Ended Jun 27, 2026	Six Months Ended Jun 28, 2025
Restructuring and other charges[1]	$ 170	$ 1,890	$ 4,240	$ 2,046
Share-based compensation	687	664	1,307	1,348
Acquisition-related costs	117	119	230	270
Other	442	82	719	351
Total corporate unallocated expenses	**$ 1,416**	**$ 2,755**	**$ 6,496**	**$ 4,015**

[1] *See "Note 6: Restructuring and Other Charges" within Notes to Consolidated Condensed Financial Statements for further information.*

Intel Q2/H1 segment revenue and OP reconciliation, including corporate unallocated SBC and intersegment eliminations. PDF page 13; printed note page 11.

Manufacturing progress and its cost limits

July management said Intel 7, Intel 3 and Intel 18A factories exceeded internal volume targets. Intel 18A output was about 25% above target and more than 50% higher sequentially. Output relative to an internal target does not disclose absolute yield, qualified external wafer sales or independently available annual capacity.

Management also said the primary Panther Lake SKU cost had fallen roughly 50% year to date and targeted another 20% reduction during 2026. That progress supports product economics, but it does not imply a 50% reduction in company-wide cost of sales. New-node mix, memory and substrate prices, T-glass, match sets, test and utilization can offset progress.

The model's manufacturing-margin path therefore represents an analytical outcome rather than a mechanically imported cost-down percentage. The source provides no new matched absolute unit cost, accepted good-unit count or industry-wide server price realization from which to add another profit branch. [I07, pages 2 and 4-5]

CCPG revenue was $8.9 billion, up 15 percent sequentially, and better than our expectations. The client TAM continued to hold up well despite broad component constraints and price inflation. Our AI PC revenue grew 26 percent sequentially and now represents two thirds of our client revenue mix. In addition, we saw solid performance in our edge deployments, now representing roughly 10 percent of CCPG revenue.

Operating profit for CCPG was $2.3 billion, 26 percent of revenue, and down approximately $173 million quarter-over-quarter due to inventory charges taken to optimize our factory network to overall customer demand across client and server.

Our client group has now brought 18A to full scale with 400+ designs for Series 3 across consumer and commercial. During a period of inflationary pressures, CCPG brought Core Series 3 to market at the ideal time, on its A-stepping, to provide cost optimized mainstream compute capabilities.

Our Integrated Arc graphics solution continues to see strong market adoption. With 40+ Arc integrated graphics designs across Creator, workstation, Commercial and gaming targeted designs. Building on our success in gaming notebooks, in Q2, CCPG also introduced Intel® Arc™ G-Series processors, a new family of products designed for next-generation handheld gaming systems – an additional vector for growth.

On the commercial side, activations for our market leading vPro manageability software have surged fifteen hundred percent over the last four quarters. Underpinning that manageability and enhanced security are critical must-haves in the agentic workplace.

We expect enterprise adoption of AI to be a long-term tailwind for CCPG, but our AI driven market prospects don't stop there as the Edge and Physical AI opportunity is likely to at least match the client TAM overtime. CCPG showcased this growing opportunity with 130 Series 3 designs wins for edge AI applications including brain and control deployments for robotics.

DCAI revenue was $6.3 billion, an increase of 24 percent sequentially and 59 percent year over year, meaningfully ahead of expectations. The result was driven by strong demand across hyperscale and enterprise. We also continue to see strong momentum in our purpose-built silicon product line with revenue up roughly 20 percent sequentially and nearly tripling year-over year.

Operating profit for DCAI was $2.5 billion, 40 percent of revenue, and up approximately $1 billion quarter over quarter, on higher revenue, improved product margins, and lower operating expenses.

Within the quarter, DCAI launched Xeon 6 plus, code named Clearwater Forest, our first server class product on 18A. The team announced rackscale and disaggregated inference innovations with partners SambaNova and Foxconn. In addition, DCAI further enhanced our connectivity offerings by introducing new controller and adapter products supporting Data Center, Enterprise and Telco applications which scale from 10 to 200 gigabit ethernet.

Turning to Intel Foundry. Revenue of $5.8 billion was up 6 percent sequentially, on higher fab volumes driven by strong growth in Intel 18A with output approximately 25% above target and up more than 50% quarter-over-quarter. External Foundry revenue was $293 million in the quarter.

Intel Foundry operating loss in Q2 was $2.1 billion, and $348 million better quarter-over-quarter, as higher yields, improved cycle times and increased factory scale across Intel 4/3 and 18A drove improved wafer costs. Progress on 18A has been very good. Intel Foundry has driven down the cost

July 23 primary prepared remarks, preceding page of the preserved cost/guide exhibit. Read with page5 so the Panther Lake cost statement is complete. Dated management targets are distinct from accepted external revenue.

of our primary Panther Lake SKU by roughly 50 percent year to date and is on track for an additional 20 percent this year with further meaningful reductions planned in 2027.

Within the quarter, in addition to delivering output above our expectation, Intel Foundry also entered risk production for 18A-P and met critical milestones towards delivering the 0.9 PDK for Intel 14A in October. We stepped up investments in Q2 for Intel 14A to prepare for risk production in 2027 and committed high volume ramps in 2028.

Now turning to guidance.
Looking ahead, customers continue to signal a strong and sustainable spending environment driven by the unprecedented demand for AI compute. Industry-wide supply constraints across wafers, memory and substrates remain the dominant challenge our customers are facing to support the AI infrastructure build-out. Our wafer output across our major nodes exceeded expectations from 90 days ago, and Q3 quarter to date 18A yields are trending ahead of targets set in March. Even with this strong execution and the positive trends as we enter the quarter, supply remains very tight and the near-term linearity of our supply growth is more skewed towards the end of Q3 and into Q4, especially for servers.

From an end market perspective, we expect PC consumption to be sub-seasonal in the second half of the year and down low double digits percent for all of 2026, impacted by rising memory prices and constraints. This is in-line with industry peers and 3rd party estimates. At the same time, improving supply, a strengthening product portfolio, and encouraging tailwinds for edge deployments provide us with some positive offsets. Our outlook for server CPU demand has improved again since our last earnings report, and we are forecasting strong double-digit unit growth for the industry this year and next, with momentum extending into 2028.

Taken together, we are guiding Q3 revenue to a range of $15.8 to $16.8 billion. At the midpoint of $16.3 billion, we forecast gross margin of 42 percent, a tax rate of 11 percent, and EPS of $0.38 cents, all on a non-GAAP basis.

We continue to tightly manage non-gaap operating expenses to roughly $16.5 billion for the year. And we expect non-controlling interest, or NCI, to net to approximately $250 million in each of Q3 and Q4 of this year and be approximately $1.1 billion for 2027 and 2028, on a GAAP basis.

Turning to CapEx. Due to strong customer demand signals, we are raising our outlook for 2026 and now expect our cap ex to be more than $20 billion, which is up significantly versus our expectations entering the year. We are also aggressively locking in tool purchase orders from our vendors, accelerating our clean room buildouts, and actively securing supply of substrates and memory. As a result, we are forecasting 2027 capital expenditures to be significantly above the 2026 levels with the vast majority spent across our US network.

In fact, as we look back from 2021 through 2026, our total capital spending in tools and space in the US is approaching $100 billion, significantly higher than any other semiconductor company over that timeframe. We remain committed to tightly matching our expenditures with customer demand and remain financially disciplined as we capture the growth ahead.

In closing, Q2 was another strong quarter financially and operationally. The client TAM is unfolding as expected and server CPU demand continues to far outpace available supply. Emerging markets in Physical AI, purpose-built silicon, advanced packaging, and external wafers are each multibillion-dollar annual revenue opportunities for us in the not-too-distant future. I'm confident in our ability to leverage our broad IP portfolio to solve our customers' most pressing needs and drive long-term value for our shareholders.

July 23 management prepared remarks: Panther Lake SKU cost progress, Q3 non-GAAP guidance, NCI and capital outlook. These are dated July statements, not new October guidance.

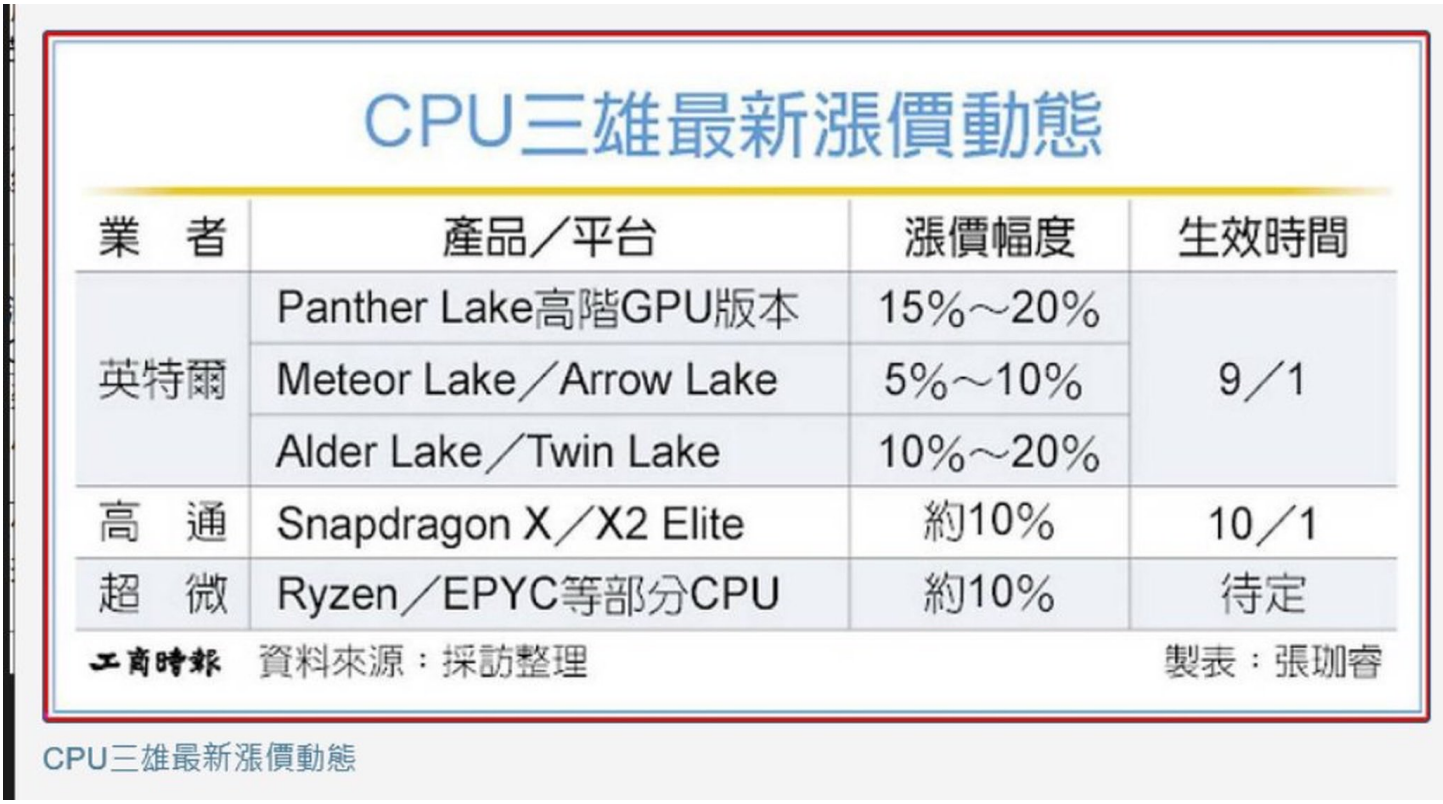
CPU demand, architecture competition and pricing

AI deployments create work for CPUs in orchestration, data handling, inference and traditional enterprise systems. More cores and richer server configurations can improve revenue even when total unit growth is modest. AMD and Arm compete for those workloads; expanding demand does not guarantee Intel share or allow a price increase without a unit response.

The retained CPU case uses a 35% probability, a 20% eligible share of client-computing revenue, a 10% conditional premium and a 50% overlap adjustment. Eligible units fall 1% in that state. Only 30% of the price revenue is retained as gross profit, with manufacturing cost absorbing the balance, and incremental commercial expense is charged. Lost units save only part of manufacturing cost; the rest remains paid.

The case is finite: no contribution in Q3 2026, half phase in Q4 2026, full phase in 2027-2028, half in 2029 and zero in 2030. It does not extend an unrestricted server or ASIC surcharge across the company.

The earlier Commercial Times pricing table is historical third-party channel evidence, not an issuer-wide realized ASP series. Its Intel and Qualcomm effective-date labels and undetermined AMD entry do not establish the exact mix, volume or margin Intel will earn. The selected conditional economics remain a bounded analytical proxy. [I03; I07; H06; H08]



CPU三雄最新漲價動態

Commercial Times CPU-pricing table, historical October 12 source. The Intel and Qualcomm effective-date labels and undetermined AMD entry are channel context, not a verified issuer-wide realized ASP series. Original Chinese source pixels are preserved in this private exhibit.

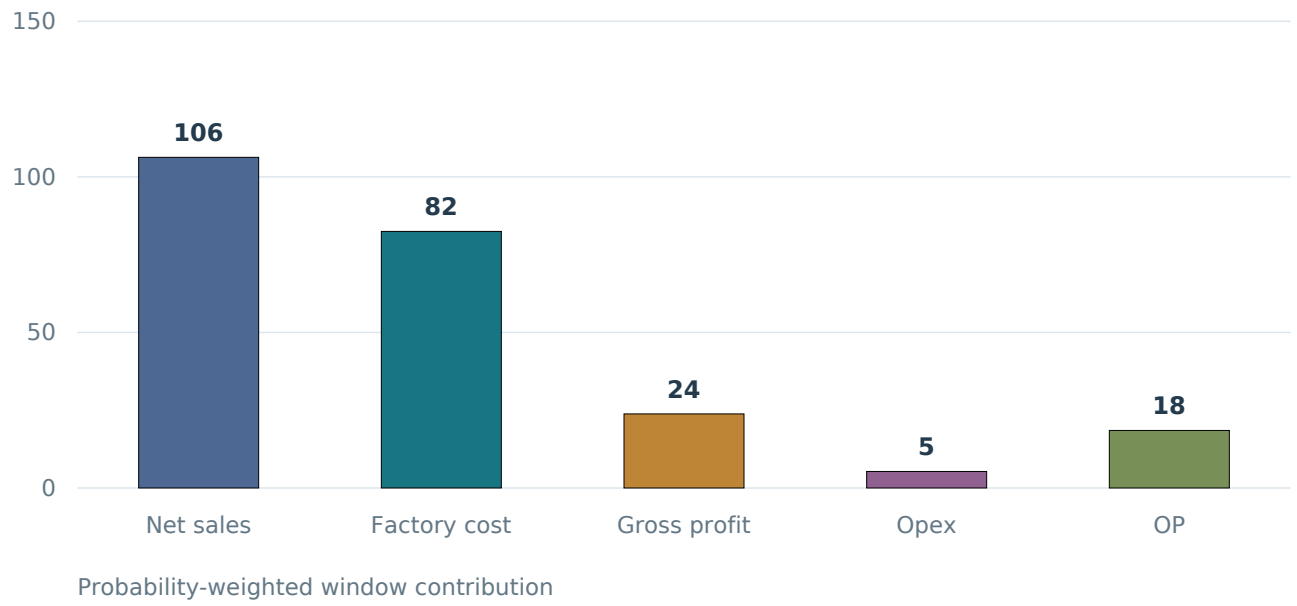
Existing CPU case: the full active-window cost bridge

Across Q4 2027 through Q3 2028, the retained probability-weighted CPU branch contributes about USD 106 million of net revenue. Approximately USD 82 million is absorbed by manufacturing cost and USD 5 million by incremental commercial expense, leaving about USD 18 million of operating profit. The adjacent observations retain the underlying precision; the chart and main table use whole USD millions.

These amounts are the existing case in the selected forecast. The new October bank review adds zero to them. The modest net contribution illustrates why a pricing headline cannot be applied directly to consolidated operating profit.

Existing CPU price case: revenue retained after real costs

USD millions; analytical model estimates



This is the total retained CPU case already in the forecast. It is not a new October-bank increment. Manufacturing costs and commercial expense consume most of the revenue benefit.

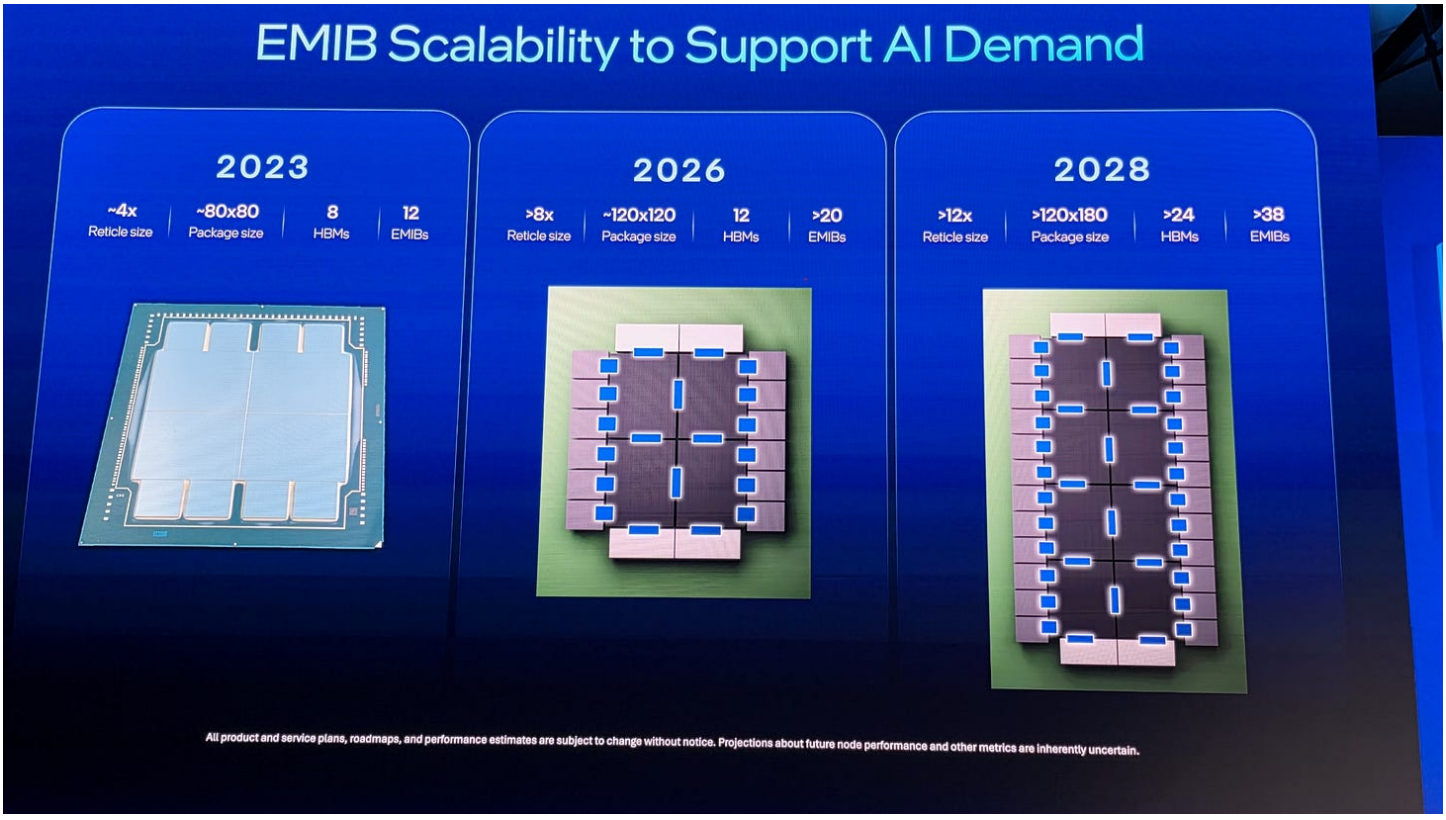
Quarter	Net revenue	Manufacturing	Gross profit	Commercial expense	Operating profit
Q4 2027	29	22	6	1	5
Q1 2028	24	18	5	1	4
Q2 2028	26	20	6	1	5
Q3 2028	28	22	6	1	5
Four-quarter total	106	82	24	5	18

EMIB, packaging content and external wafer boundaries

Advanced packaging connects compute, memory and interconnect dies with demanding power, thermal and reliability requirements. Larger packages, additional bridges and more HBM create useful content opportunities, while also adding materials, process steps, test time and engineering support. The saved 2027 packaging-timing probability remains 75%.

Management's July commentary described growing EMIB-T backlog and customer ramps in 2027, with yield and reliability hitting internal targets. It did not disclose a fresh priced unit pool or an absolute yield. The selected external packaging path already reaches USD 3,000 million in 2027 and USD 6,500 million in 2028.

A package fabricated around externally made dies earns Intel packaging revenue. It does not automatically earn Intel front-end wafer revenue or the full selling price of the completed chip. Customers may also need die, bump-map, power, thermal and reliability redesign when moving between packaging ecosystems. Those conversion costs and timing explain why an announced technology relationship can take time to become profitable volume. [I07; H08]



Historical Intel EMIB roadmap reproduced in the April 24 Irrational Analysis discussion. Larger package bodies, more HBM and additional bridges require more manufacturing and qualification resources. The roadmap is not a priced accepted-volume disclosure. Private source reproduction.

Google: one conditional case inside the packaging forecast

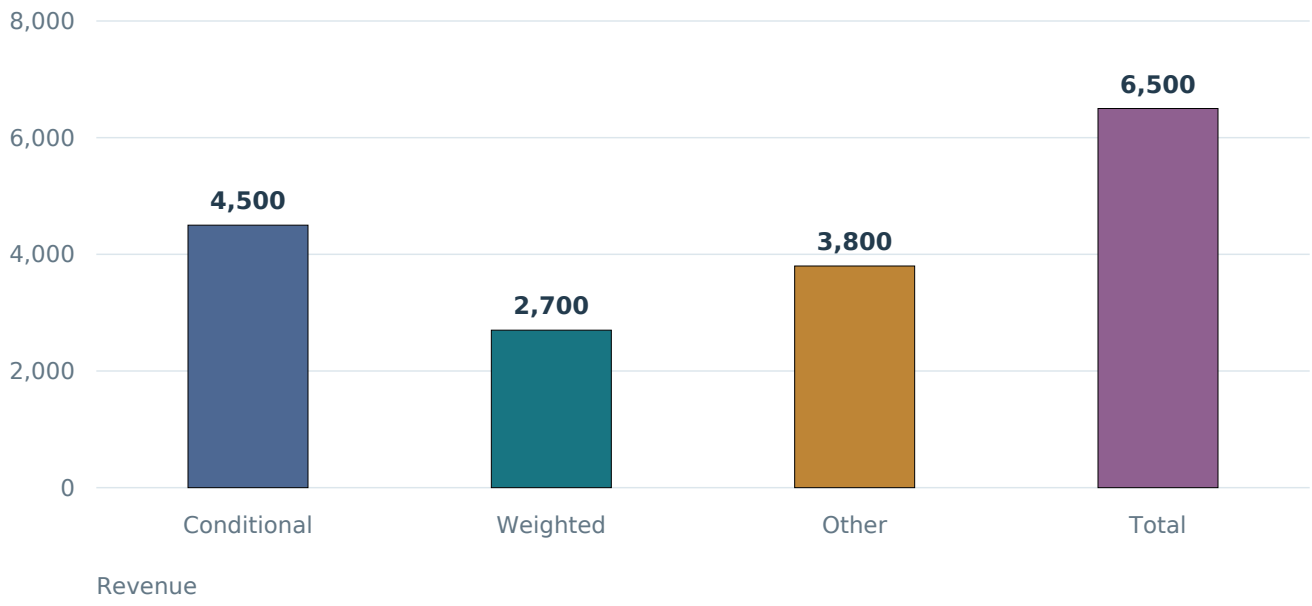
The reported potential Google TPU program uses 3 million units and an analytical USD 1,500 packaging-only content assumption. That produces USD 4,500 million of conditional revenue. A 60% conversion probability gives USD 2,700 million of weighted revenue, already included within total 2028 packaging revenue of USD 6,500 million.

The remaining USD 3,800 million belongs to other modeled packaging activity. The conditional USD 4,500 million and its weighted USD 2,700 million are alternative representations of the same program. Adding both would duplicate the customer pool.

At the selected 35% packaging gross margin, weighted Google revenue produces USD 945 million of gross profit after USD 1,755 million of manufacturing cost. Common R&D and operating expense remain in the group build, so USD 945 million is not program operating profit. No separate Intel front-end wafer award is inferred. [H01; I03; I07]

Google packaging: conditional case and selected revenue pools

USD millions; analytical model estimates



The first bar is an alternative conditional state. Only weighted Google and other packaging add to the total. The 945 million Google gross profit is before common R&D and operating expense, not program operating profit.

Measure	Revenue	Manufacturing cost	Gross profit	Meaning
Google conditional case	4,500	2,925	1,575	Alternative successful-conversion state; not additive to weighted revenue
Google probability-weighted component	2,700	1,755	945	60% of the conditional case; included once in total
Other packaging component	3,800	2,470	1,330	Remaining modeled packaging revenue
Total selected packaging	6,500	4,225	2,275	Weighted Google plus other; before retained common operating expense

14A, 18A-P and the qualified-customer gate

July management said 18A-P had entered risk production, the 14A 0.5 process design kit was complete, a 0.9 kit was targeted for October, internal risk production was planned for the second half of 2027 and high-volume ramp for 2028. The October bank discussion repeats that dated roadmap; it does not independently prove completed October delivery or a new named signed customer with disclosed economics.

The selected external 14A customer-conversion probability remains 40%. The external wafer vector already assumes a demanding expansion from USD 1,500 million in 2027 toward USD 12,000 million in 2030. Qualification, manufacturing yield, competitive performance, tooling and customer confidence must support that growth.

The previously discussed 18A-P skew-corner improvement concerns design guardbands. It is not a measured production-yield percentage and does not directly convert into the same percentage of revenue or profit. There is no new supported 80% yield fact or matched absolute cost from which to add another branch. [I07; H09]

Owned custom silicon, Fortinet and exploratory memory work

Owned custom silicon expands DCAI beyond general-purpose CPUs, and management's prospective ASIC run-rate growth supports that direction. The model keeps those sales in the existing DCAI vector. It does not classify a future run rate as a signed order or book the same customer once in owned ASICs, again in packaging and a third time in foundry.

The Fortinet commercialization probability remains 75%. The collaboration offers a credible route to security silicon and manufacturing activity, but the new bank pages disclose no incremental priced customer volume or revenue seller. The saved general owned-ASIC and foundry path absorbs the identified evidence.

Exploratory SK hynix work retains a 20% probability with no quantified incremental revenue. A memory relationship can create manufacturing or packaging opportunities, but the full memory-chip selling price does not automatically belong to Intel. Unspecified commercial terms remain a source limitation. [I07; H02; H04]

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D-Series and the inference-product opportunity

Intel's October 12 materials identify Crescent Island in the D-Series GPU family using Xe3P for memory-oriented inference. The disclosed specification includes 1,300 teraFLOPS of FP8 capability, 1,500 GB per second of bandwidth and a 350-watt air-cooled PCIe format.

The Intel card carries 160 GB of LPDDR5X. ODM designs may reach 480 GB; that figure should not be relabeled as the standard Intel card. Sampling is useful technical evidence, while broad paid availability, accepted volume, pricing, memory cost and support burden remain unquantified.

The retained 25% meaningful-paid-ramp probability is nonzero. The earlier diagnostic assumes 10,000 units at USD 7,500 each, or USD 75 million conditional sales, with 65% manufacturing cost and 18% incremental software, engineering and support expense. It produces about USD 13 million conditional OP and USD 3 million expected OP before overlap. Those are analytical proxies, not issuer guidance.

The active DCAI path already reaches USD 44,000 million in 2028 and includes product expansion. Without an identified incremental paid cohort and matched costs above that path, a second D-Series revenue layer would duplicate the saved expansion. The selected fresh contribution remains zero. [H05]

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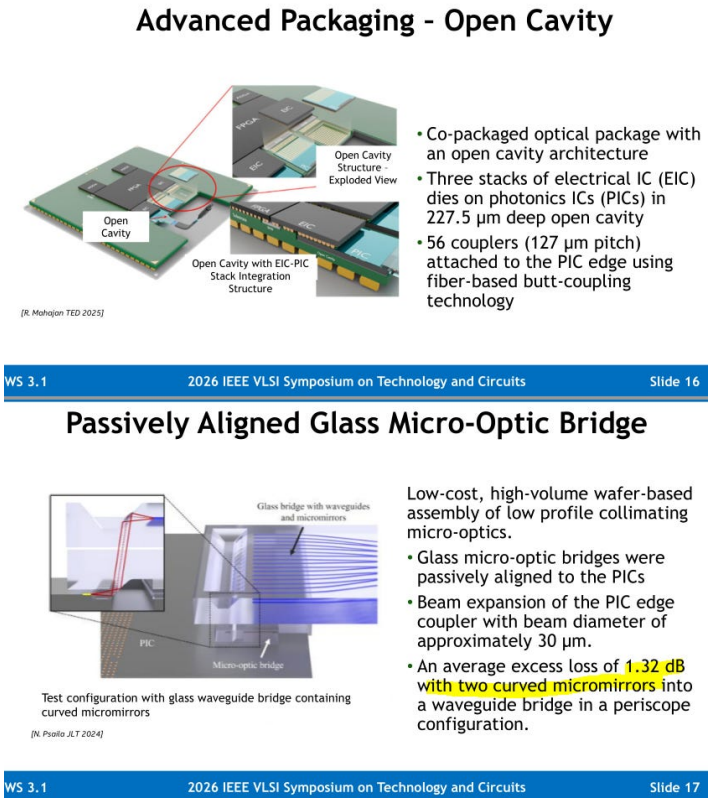
Optical I/O: engineering progress and unresolved production economics

Optical I/O could reduce the power and bandwidth limits around large AI systems. The historical technical materials reproduced in the saved research discuss an evolution from 8 wavelengths at 32 gigabits per second toward 16 wavelengths at 50 gigabits per second, reaching 800 gigabits per second per fiber. They show a technical direction rather than accepted commercial Intel revenue.

The engineering path includes semiconductor optical amplifiers, ring modulators, thermal tracking and open-cavity assembly. Reported glass-path insertion loss consumes optical margin; a favorable BER sample at the best sampling point does not establish yield or timing margin across every lane, temperature and production unit.

The missing evidence includes complete lane spectra, power and noise performance, temperature behavior, reliability, production cost and customer acceptance. The reproduced materials and source critique do not

justify a claim of certain failure or deception. Historical laser shipments also do not certify this design. The current review adds no new optical-I/O invoice, wafer amount or probability uplift. [H07; H10]



Historical open-cavity and glass optical-I/O figure reproduced in the August 18 Irrational Analysis discussion. The measured glass-path insertion-loss observation consumes optical margin; it does not independently establish production cost or accepted Intel revenue.

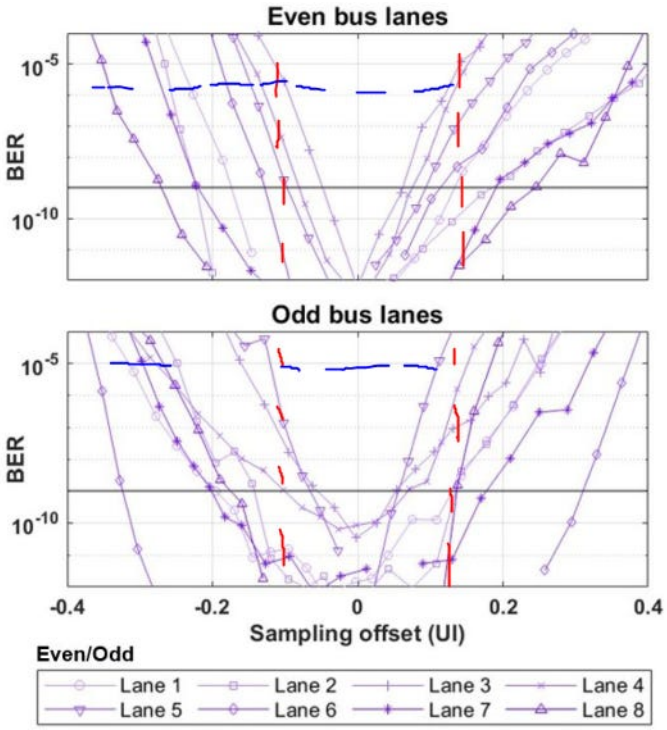


Fig. 11. Measured 16-λ DWDM link BER with 50 Gbps/λ transmitted simultaneously on eight even bus and eight odd bus lanes.

Historical BER sampling figure reproduced in the same August 18 discussion. A favorable measurement at the best sampling point does not establish all-lane timing, temperature, reliability or production yield. The full original technical paper and audio are not independently certified by this exhibit.

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Probability, conditional outcomes and overlap

The program probabilities below are analytical judgments. They are retained after reviewing the new evidence and are not company forecasts, signed contract probabilities or broad discounts applied mechanically to every product line. Already weighted revenue is not multiplied a second time.

Several programs share customers, process technology, factory capacity or capital needs. Their headlines therefore cannot be summed as independent addressable revenue. The selected five-vector path, cost structure and program dispositions define the amount retained after overlap. No new source turns an internal transfer into another external sale.

Retained program probabilities and economic treatment (whole percentages; descriptive treatment).

Program	Probability, %	Treatment
2027 EMIB-T timing	75	Existing external packaging trajectory; probability already embedded once.
Reported Google TPU conversion	60	USD 4,500 million conditional; USD 2,700 million weighted within USD 6,500 million total 2028 packaging.

Program	Probability, %	Treatment
14A external customer conversion	40	Existing conditional external-wafer trajectory; named priced award not disclosed.
Fortinet commercialization	75	General owned-ASIC / foundry pathway; incremental seller, units and price unresolved.
SK hynix exploratory arrangement	20	Unquantified residual; no incremental active revenue.
D-series meaningful paid ramp	25	Bounded diagnostic before overlap; no second active sales layer.
CPU repricing net outcome	35	Finite explicit price, unit-response, manufacturing and commercial-cost branch.

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Forecast architecture and accounting basis

The five product vectors are analytical revenue and manufacturing-cost allocations. Their margins are model assumptions calibrated to the reported group and segment context, rather than disclosed product gross margins. They pay manufacturing cost before group operating expense. The separate finite CPU branch then changes revenue, manufacturing gross profit and commercial expense once.

Consolidated operating profit equals selected gross profit less group operating expense. Parent-economic operating profit deducts the retained minority-claim proxy. That claim uses management's minority net-income guidance as an approximate economic allocation; it is not a precisely measured subsidiary operating-profit split.

The valuation method includes ordinary SBC, engineering and production depreciation. No cash or net-debt adjustment is introduced into the owner-selected OP ceiling. The absence of a full cash-funding engine limits what the earnings ceiling can say about financing feasibility.

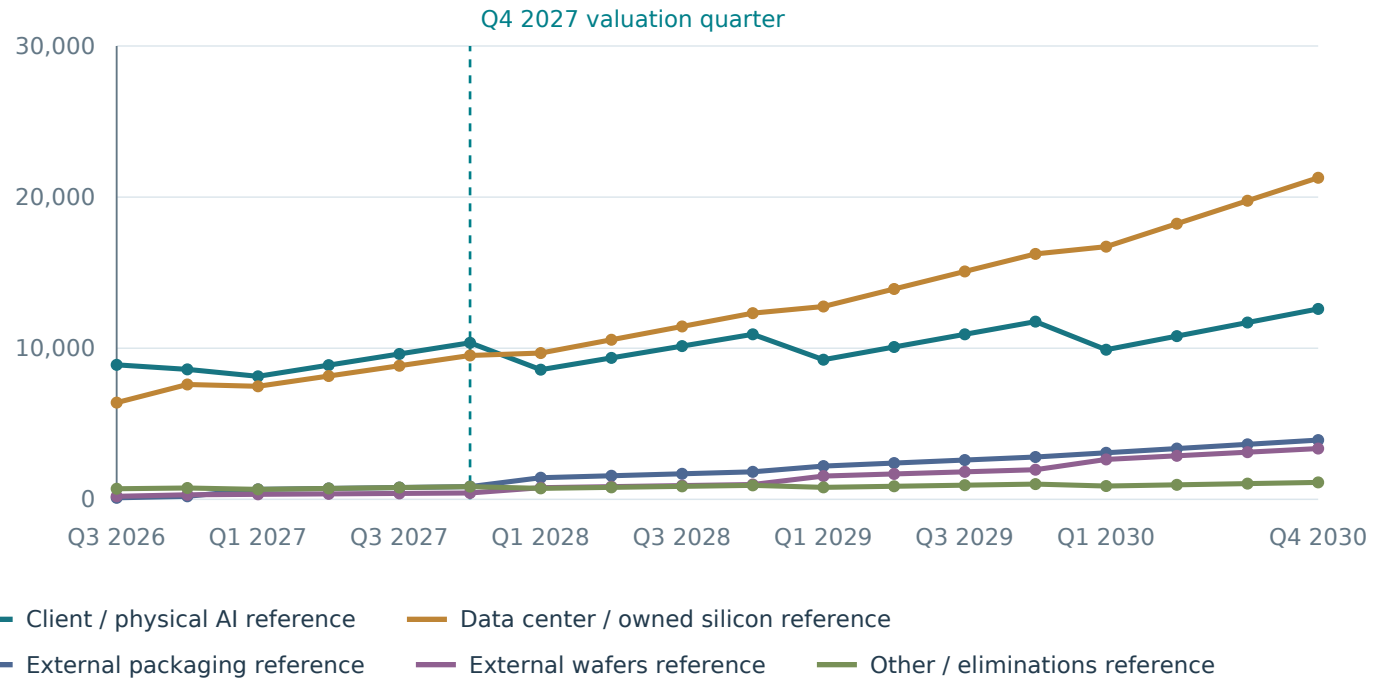
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Five-product revenue forecast, all eighteen quarters

The chart shows each reference product revenue vector through Q4 2030. The full observation table reconciles those five vectors, the separate probability-weighted CPU adjustment and selected group revenue. The forecast period starts in Q3 2026; these observations are model estimates.

Five revenue vectors and the separately costed CPU case

USD millions; analytical model estimates



The five plotted vectors are reference revenue. The adjacent table adds the finite CPU case once and reconciles to selected group revenue. These are analytical forecasts, not company segment guidance.

Quarter	Client	DCAI	Package	Wafer	Other	Ref. total	CPU case	Selected
Q3 2026	8,900	6,400	100	200	700	16,300	0	16,300
Q4 2026	8,600	7,600	200	300	750	17,450	12	17,462
Q1 2027	8,140	7,480	660	330	660	17,270	23	17,293
Q2 2027	8,880	8,160	720	360	720	18,840	25	18,865
Q3 2027	9,620	8,840	780	390	780	20,410	27	20,437
Q4 2027	10,360	9,520	840	420	840	21,980	29	22,009
Q1 2028	8,580	9,680	1,430	770	726	21,186	24	21,210
Q2 2028	9,360	10,560	1,560	840	792	23,112	26	23,138
Q3 2028	10,140	11,440	1,690	910	858	25,038	28	25,066
Q4 2028	10,920	12,320	1,820	980	924	26,964	30	26,994
Q1 2029	9,240	12,760	2,200	1,540	792	26,532	13	26,545
Q2 2029	10,080	13,920	2,400	1,680	864	28,944	14	28,958
Q3 2029	10,920	15,080	2,600	1,820	936	31,356	15	31,371
Q4 2029	11,760	16,240	2,800	1,960	1,008	33,768	16	33,784

Quarter	Client	DCAI	Package	Wafer	Other	Ref. total	CPU case	Selected
Q1 2030	9,900	16,720	3,080	2,640	880	33,220	0	33,220
Q2 2030	10,800	18,240	3,360	2,880	960	36,240	0	36,240
Q3 2030	11,700	19,760	3,640	3,120	1,040	39,260	0	39,260
Q4 2030	12,600	21,280	3,920	3,360	1,120	42,280	0	42,280

Client / physical AI: complete manufacturing economics

All five product tables below show the reference revenue vectors before the separate CPU case. Revenue less manufacturing cost equals product gross profit. Allocated margins are analytical assumptions; common operating costs remain in the consolidated build rather than an invented product-level operating-profit disclosure.

All eighteen quarters - Client / physical AI (USD millions and whole percentages).

Quarter	Revenue	Manufacturing	Gross profit	Gross margin, %
Q3 2026	8,900	5,732	3,168	36
Q4 2026	8,600	5,504	3,096	36
Q1 2027	8,140	4,884	3,256	40
Q2 2027	8,880	5,328	3,552	40
Q3 2027	9,620	5,772	3,848	40
Q4 2027	10,360	6,216	4,144	40
Q1 2028	8,580	4,891	3,689	43
Q2 2028	9,360	5,335	4,025	43
Q3 2028	10,140	5,780	4,360	43
Q4 2028	10,920	6,224	4,696	43
Q1 2029	9,240	5,082	4,158	45
Q2 2029	10,080	5,544	4,536	45
Q3 2029	10,920	6,006	4,914	45
Q4 2029	11,760	6,468	5,292	45
Q1 2030	9,900	5,346	4,554	46
Q2 2030	10,800	5,832	4,968	46
Q3 2030	11,700	6,318	5,382	46
Q4 2030	12,600	6,804	5,796	46

Data center / owned silicon: complete manufacturing economics

All eighteen quarters - Data center / owned silicon (USD millions and whole percentages).

Quarter	Revenue	Manufacturing	Gross profit	Gross margin, %
Q3 2026	6,400	3,200	3,200	50
Q4 2026	7,600	3,648	3,952	52
Q1 2027	7,480	3,366	4,114	55
Q2 2027	8,160	3,672	4,488	55
Q3 2027	8,840	3,978	4,862	55
Q4 2027	9,520	4,284	5,236	55
Q1 2028	9,680	4,162	5,518	57
Q2 2028	10,560	4,541	6,019	57
Q3 2028	11,440	4,919	6,521	57
Q4 2028	12,320	5,298	7,022	57
Q1 2029	12,760	5,359	7,401	58
Q2 2029	13,920	5,846	8,074	58
Q3 2029	15,080	6,334	8,746	58
Q4 2029	16,240	6,821	9,419	58
Q1 2030	16,720	7,022	9,698	58
Q2 2030	18,240	7,661	10,579	58
Q3 2030	19,760	8,299	11,461	58
Q4 2030	21,280	8,938	12,342	58

External packaging: complete manufacturing economics

All eighteen quarters - External packaging (USD millions and whole percentages).

Quarter	Revenue	Manufacturing	Gross profit	Gross margin, %
Q3 2026	100	80	20	20
Q4 2026	200	150	50	25
Q1 2027	660	462	198	30
Q2 2027	720	504	216	30
Q3 2027	780	546	234	30
Q4 2027	840	588	252	30
Q1 2028	1,430	930	501	35
Q2 2028	1,560	1,014	546	35
Q3 2028	1,690	1,099	592	35
Q4 2028	1,820	1,183	637	35
Q1 2029	2,200	1,364	836	38
Q2 2029	2,400	1,488	912	38
Q3 2029	2,600	1,612	988	38
Q4 2029	2,800	1,736	1,064	38
Q1 2030	3,080	1,848	1,232	40
Q2 2030	3,360	2,016	1,344	40
Q3 2030	3,640	2,184	1,456	40
Q4 2030	3,920	2,352	1,568	40

External wafers: complete manufacturing economics

All eighteen quarters - External wafers (USD millions and whole percentages).

Quarter	Revenue	Manufacturing	Gross profit	Gross margin, %
Q3 2026	200	220	-20	-10
Q4 2026	300	300	0	0
Q1 2027	330	297	33	10
Q2 2027	360	324	36	10
Q3 2027	390	351	39	10
Q4 2027	420	378	42	10
Q1 2028	770	616	154	20
Q2 2028	840	672	168	20
Q3 2028	910	728	182	20
Q4 2028	980	784	196	20
Q1 2029	1,540	1,124	416	27
Q2 2029	1,680	1,226	454	27
Q3 2029	1,820	1,329	491	27
Q4 2029	1,960	1,431	529	27
Q1 2030	2,640	1,848	792	30
Q2 2030	2,880	2,016	864	30
Q3 2030	3,120	2,184	936	30
Q4 2030	3,360	2,352	1,008	30

Other / eliminations: complete manufacturing economics

All eighteen quarters - Other / eliminations (USD millions and whole percentages).

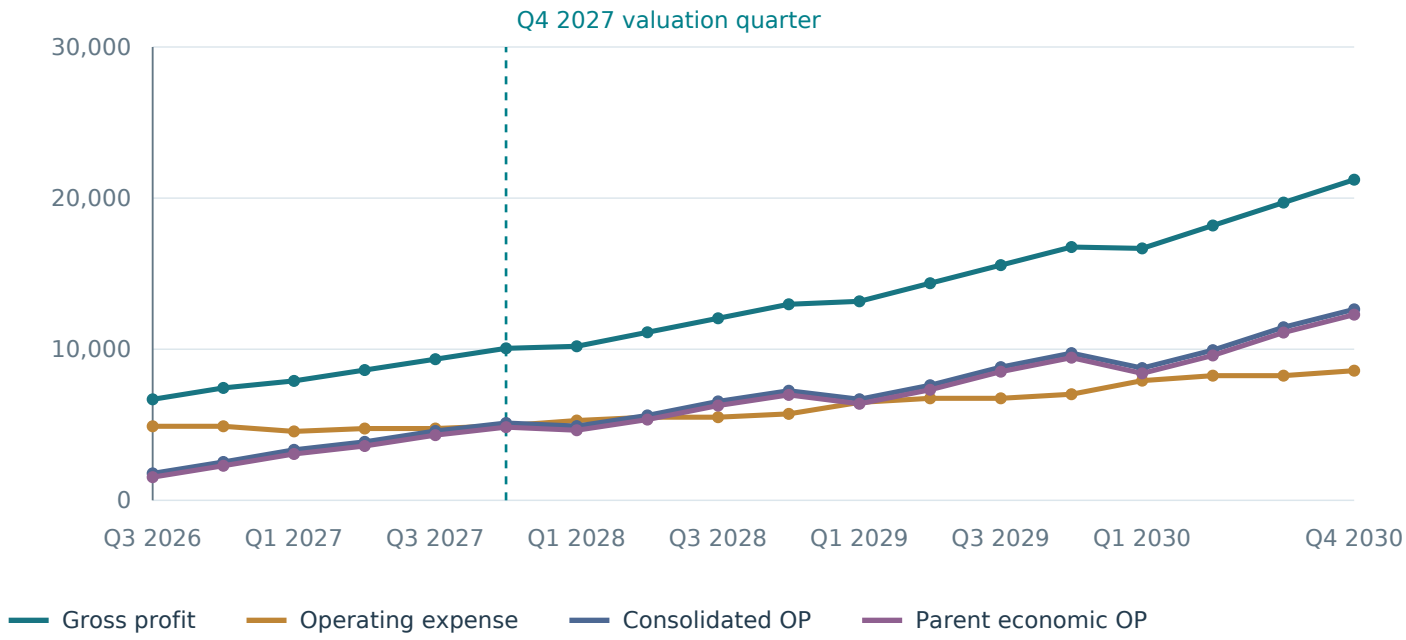
Quarter	Revenue	Manufacturing	Gross profit	Gross margin, %
Q3 2026	700	385	315	45
Q4 2026	750	413	338	45
Q1 2027	660	363	297	45
Q2 2027	720	396	324	45
Q3 2027	780	429	351	45
Q4 2027	840	462	378	45
Q1 2028	726	399	327	45
Q2 2028	792	436	356	45
Q3 2028	858	472	386	45
Q4 2028	924	508	416	45
Q1 2029	792	436	356	45
Q2 2029	864	475	389	45
Q3 2029	936	515	421	45
Q4 2029	1,008	554	454	45
Q1 2030	880	484	396	45
Q2 2030	960	528	432	45
Q3 2030	1,040	572	468	45
Q4 2030	1,120	616	504	45

Group profit after all operating and minority costs

The selected model keeps manufacturing, operating expense and minority claims visible throughout all eighteen quarters. Stronger revenue alone cannot deliver the parent-profit path: factory economics, normal development spending and ownership claims must reconcile at the same time.

Gross profit, operating expense and shareholder earnings

USD millions; analytical model estimates



Parent economic OP deducts the retained minority-claim proxy from consolidated OP. Ordinary SBC, engineering, manufacturing depreciation and operating costs remain within the profit build.

Quarter	Revenue	Mfg. cost	Gross profit	Opex	Group OP	Minority	Parent OP
Q3 2026	16,300	9,617	6,683	4,900	1,783	250	1,533
Q4 2026	17,462	10,024	7,438	4,901	2,538	250	2,288
Q1 2027	17,293	9,389	7,903	4,561	3,342	275	3,067
Q2 2027	18,865	10,243	8,622	4,751	3,870	275	3,595
Q3 2027	20,437	11,097	9,340	4,751	4,589	275	4,314
Q4 2027	22,009	11,950	10,058	4,941	5,117	275	4,842
Q1 2028	21,210	11,016	10,194	5,281	4,912	275	4,637
Q2 2028	23,138	12,018	11,120	5,501	5,619	275	5,344

Quarter	Revenue	Mfg. cost	Gross profit	Opex	Group OP	Minority	Parent OP
Q3 2028	25,066	13,019	12,047	5,501	6,545	275	6,270
Q4 2028	26,994	14,021	12,974	5,722	7,252	275	6,977
Q1 2029	26,545	13,375	13,170	6,481	6,689	300	6,389
Q2 2029	28,958	14,591	14,367	6,751	7,616	300	7,316
Q3 2029	31,371	15,807	15,564	6,751	8,814	300	8,514
Q4 2029	33,784	17,023	16,762	7,021	9,741	300	9,441
Q1 2030	33,220	16,548	16,672	7,920	8,752	350	8,402
Q2 2030	36,240	18,053	18,187	8,250	9,937	350	9,587
Q3 2030	39,260	19,557	19,703	8,250	11,453	350	11,103
Q4 2030	42,280	21,062	21,218	8,580	12,638	350	12,288

Annual model summary

The 2026 line covers only the two forecast quarters from Q3 through Q4. It is not a full-year company revenue forecast. The later years contain four quarters each.

Annual selected operating build (USD millions).

Year	Quarters	Revenue	Manufacturing	Gross profit	Operating expense	Group OP	Minority	Parent OP
2026	2	33,762	19,641	14,121	9,801	4,321	500	3,821
2027	4	78,602	42,679	35,923	19,005	16,918	1,100	15,818
2028	4	96,408	50,074	46,334	22,005	24,329	1,100	23,229
2029	4	120,658	60,795	59,863	27,003	32,860	1,200	31,660
2030	4	151,000	75,220	75,780	33,000	42,780	1,400	41,380

Cash, capital and financing obligations

June cash of USD 12,874 million plus short-term investments of USD 16,853 million gives USD 29,727 million of liquid balances. Restricted cash of USD 723 million is separate. Total debt was USD 50,537 million. Unused USD 3,000 million and USD 7,000 million revolvers provide availability rather than cash already drawn.

First-half operating cash flow of USD 8,102 million includes customer-deposit timing. Intel received USD 1,700 million in customer deposits, which represent future performance obligations rather than extra sales. Supplier prepayments of USD 934 million consume cash before accepted output.

PPE cash payments were USD 6,192 million in investing and USD 1,423 million in financing, with USD 832 million of finance-lease principal separately identified. Those lines should not be relabeled as the full-year greater-than-USD-20,000-million gross capital-investment guide. Management expected significantly higher capital spending in 2027 without a quantified budget.

Front-end tools, backend third-party advances, tax-credit timing and production obligations can require cash before revenue. The report has no complete forward cash, debt-maturity, lease or financing schedule. Operating profit is therefore not proof that the factory expansion can self-finance, and the 1% annual share-growth proxy is not a demonstrated funding plan. [I02, PDF pages 7-8 and financing notes; I07]

June and first-half financial anchors (USD millions).

Measure	USD million
Cash	12,874
Short-term investments	16,853
Cash plus short-term investments	29,727
Restricted cash, separate	723
Debt	50,537
Unused revolver availability, combined	10,000
H1 operating cash flow	8,102
Customer deposits received in Q2	1,700
H1 supplier prepayments	934
H1 cash PPE, investing	6,192
H1 cash PPE, financing	1,423
H1 finance-lease principal	832

Ireland ownership and financing cost

The USD 14,200 million acquisition of the Ireland partner's 49% interest was completed. A USD 6,500 million bridge used in the funding was refinanced with USD 6,500 million of senior notes. It is a completed ownership and financing event rather than an unmodeled new operating expense.

The note principal spans maturities from 2031 through 2066. Interest expense and capitalized interest have different income-statement and asset roles. The OP-based ceiling does not add note proceeds to revenue, omit capital requirements or imply that all capitalized financing cost disappears. [I02, PDF pages 7-8 and financing notes; I07]

New senior-note principal (USD millions).

Maturity	Principal, USD million
2031	1,000
2033	1,000
2036	2,200
2056	1,800
2066	500

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Share proxy, escrow and conditional rights

The selected initial share proxy is 5,256 million, built from 5,043 million issued shares, 143 million unreleased escrow shares and a 70 million aggregate excluded anti-dilutive-equity proxy. This is a modeling convention rather than a verified literal fully diluted capitalization.

The 70 million disclosure covers employee plans and equity-issuance arrangements, including escrow as applicable. Its disjointness from all 143 million unreleased escrow shares is unproved. The report therefore corrects the awards-only description and explicitly retains possible overlap uncertainty rather than claiming a precise registry.

The 5,104 million weighted-average EPS denominator already contains some escrow rights and measures a different period and purpose. It cannot be combined uncritically with the point-in-time issued-share count or another full escrow addition.

Up to 241 million Department of Commerce warrants at USD 20 become exercisable if Intel ceases owning at least 51% of Foundry. The filing says they are neither currently nor expected to become exercisable. Net-cash or net-share settlement is possible. The selected controlled-Foundry share path excludes an automatic warrant addition; a separate gross-share sensitivity tests the claim without assuming exercise or cash proceeds. [I02, PDF pages 15-16]

Share quantities with distinct measurement scopes (million shares).

Measure	Million shares	Meaning
June 27 issued	5,043	Point-in-time common shares
July 17 issued	5,044	Later cover-page point-in-time count
Unreleased escrow	143	Total unreleased; some rights already enter EPS
Already included escrow, approximately	71	Included in basic EPS calculation
Aggregate excluded equity proxy	70	Possible escrow overlap; not awards-only certainty
Q2 basic/diluted EPS average	5,104	Weighted average; not literal current registry
Selected initial model proxy	5,256	Preserved convention with uncertainty
Contingent DOC gross rights	241	Conditional diagnostic; excluded from selected path

Saved eighteen-point share convention

Each complete valuation uses the starting-quarter share point shown below. The saved schedule reflects the existing 1% annual growth convention. No new financing amount, issue price or warrant-exercise outcome is inferred from that assumption.

Starting-quarter model shares (million shares).

Quarter	Million shares
Q3 2026	5,256
Q4 2026	5,269
Q1 2027	5,282
Q2 2027	5,295
Q3 2027	5,309
Q4 2027	5,322
Q1 2028	5,335
Q2 2028	5,348
Q3 2028	5,362
Q4 2028	5,375
Q1 2029	5,388
Q2 2029	5,402
Q3 2029	5,415
Q4 2029	5,429

Quarter	Million shares
Q1 2030	5,442
Q2 2030	5,456
Q3 2030	5,469
Q4 2030	5,483

Full framework scorecard

The seven categories have been reassessed against the latest evidence, costs, competition, funding and shareholder claims. The analytical result remains 43 points out of 60, rounded to 72. The separate protected Excel Base remains 72. They coincide here; neither changes the operating forecast by itself.

Current analytical categories (framework points).

Category	Points	Maximum	Reason
Core thesis	16	20	CPU IP, engineering and integrated output remain durable; the foundry turnaround is expensive and competitive.
Cycle stage	8	10	Reported CPU momentum and tight supply support expansion; qualified external ramps remain conditional.
TAM expansion	10	10	Agentic and edge CPUs, owned custom silicon, packaging and external manufacturing broaden opportunity without importing industry TAM as revenue.
Catalysts	4	5	October 29 results and dated PDK, EMIB-T and HVM milestones matter; no new accepted award is established.
Macro	8	10	AI and sovereign demand support investment; input inflation, policy and funding offset the benefit.
Alpha	2	5	The company is widely followed; precise invoice ownership, real costs and shareholder claims provide more differentiation than copied broker targets.
Risks	-5	-	Five distinct classes receive one-point deductions; detailed below.
Total	43	60	Rounded analytical Base 72; protected Excel Base 72.

Five independent risk classes

Manufacturing execution covers qualified yield, cycle time, reliability and mix. CPU and architecture competition covers AMD and Arm taking share even as total demand grows. Customer conversion covers commercial acceptance and concentration. Capital intensity covers tooling, backend advances and tax-credit timing. Dilution, governance and minority claims cover the portion common shareholders ultimately retain.

These are separate risk mechanisms rather than repeated deductions for the same headline. Each receives one point in the current score. A stronger demand environment cannot eliminate the costs, customer qualification or claim structure that govern profit capture.

Risk deductions (points).

Class	Deduction
Process and manufacturing execution	-1
CPU and architecture competition	-1
Customer conversion and concentration	-1
Capital intensity and funding	-1
Dilution,governance and minorityclaims	-1

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TAM, competitive position and stage

The near opportunity is more CPU cores, richer configurations and scarce supply. Packaging and external wafer revenue depend on conversion later in the cycle. The outer DCAI forecast also contains owned ASICs, so comparing it with a competitor's broad CPU TAM cannot produce a precise Intel CPU market share.

The current framework places server CPUs in a qualitative 30-50% adoption band, advanced packaging in a 10-25% band, external leading-edge manufacturing in a 5-15% band and physical-AI opportunities below 10%. These are qualitative stage assessments, not measured penetration, company guidance or extra forecast-wide probability haircuts.

TSMC sets a demanding benchmark for process performance and foundry trust; Samsung offers another integrated alternative. Intel's domestic footprint and integrated engineering create a potential customer option, but customers still need competitive performance, qualified yield, packaging support and reliable delivery. Policy support cannot by itself guarantee commercial returns.

Catalysts and evidence that could change the path

The next dated reporting checkpoint is October 29. Later checkpoints include the planned process-design-kit progression, 2027 EMIB-T customer ramps and the 2028 high-volume manufacturing objective. More useful evidence would identify accepted customer volume, the invoice seller, manufacturing cost, recurring support needs and a credible paid-capacity schedule.

Counterevidence includes persistent input inflation, low utilization, uncompetitive power or performance, customer conversion delays, larger-than-assumed capital commitments and additional shareholder claims. This report does not require official confirmation before considering credible evidence; it requires the new information to map to a bounded company-level economic difference without repeating an existing pool.

Valuation method and all complete windows

For each valuation quarter, add that quarter's parent-economic operating profit and the next three quarters. Multiply by 25 and divide by starting-quarter model shares, with financial units converted consistently. With OP displayed in USD millions and shares in millions, the result is USD per share.

The method retains recurring operating costs, the explicit minority claim and the saved share convention. It applies no fresh broker EPS multiple, cash addition or net-debt deduction. The last three modeled operating quarters do not have enough future observations to form a complete four-quarter ceiling.

All fifteen complete model ceilings

USD per share; analytical model estimates



Each ceiling uses current plus next three parent-economic operating profits, 25 times and the valuation quarter's starting share proxy. No market-price upside or fresh market quote is implied.

Valuation quarter	Four-quarter parent OP	Multiple	Starting shares, million	Ceiling, USD
Q3 2026	10,483	25	5,256	50
Q4 2026	13,263	25	5,269	63
Q1 2027	15,818	25	5,282	75
Q2 2027	17,388	25	5,295	82
Q3 2027	19,137	25	5,309	90
Q4 2027	21,094	25	5,322	99
Q1 2028	23,229	25	5,335	109
Q2 2028	24,981	25	5,348	117
Q3 2028	26,953	25	5,362	126
Q4 2028	29,196	25	5,375	136
Q1 2029	31,660	25	5,388	147
Q2 2029	33,672	25	5,402	156
Q3 2029	35,943	25	5,415	166
Q4 2029	38,532	25	5,429	177

Valuation quarter	Four-quarter parent OP	Multiple	Starting shares, million	Ceiling, USD
Q1 2030	41,380	25	5,442	190

Q3 2026: four-quarter operating-profit derivation

Q3 2026 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q3 2026	1,533
Parent OP 2	Q4 2026	2,288
Parent OP 3	Q1 2027	3,067
Parent OP 4	Q2 2027	3,595
Four-quarter parent OP	USD million	10,483
Multiple	times	25
Starting-quarter shares	million	5,256
Ceiling	USD per share	50

Q4 2026: four-quarter operating-profit derivation

Q4 2026 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q4 2026	2,288
Parent OP 2	Q1 2027	3,067
Parent OP 3	Q2 2027	3,595
Parent OP 4	Q3 2027	4,314
Four-quarter parent OP	USD million	13,263
Multiple	times	25
Starting-quarter shares	million	5,269
Ceiling	USD per share	63

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Q1 2027: four-quarter operating-profit derivation

Q1 2027 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q1 2027	3,067
Parent OP 2	Q2 2027	3,595
Parent OP 3	Q3 2027	4,314
Parent OP 4	Q4 2027	4,842
Four-quarter parent OP	USD million	15,818
Multiple	times	25
Starting-quarter shares	million	5,282
Ceiling	USD per share	75

Q2 2027: four-quarter operating-profit derivation

Q2 2027 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q2 2027	3,595
Parent OP 2	Q3 2027	4,314
Parent OP 3	Q4 2027	4,842
Parent OP 4	Q1 2028	4,637
Four-quarter parent OP	USD million	17,388
Multiple	times	25
Starting-quarter shares	million	5,295
Ceiling	USD per share	82

Q3 2027: four-quarter operating-profit derivation

Q3 2027 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q3 2027	4,314
Parent OP 2	Q4 2027	4,842
Parent OP 3	Q1 2028	4,637
Parent OP 4	Q2 2028	5,344
Four-quarter parent OP	USD million	19,137
Multiple	times	25
Starting-quarter shares	million	5,309
Ceiling	USD per share	90

Q4 2027: four-quarter operating-profit derivation

Q4 2027 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q4 2027	4,842
Parent OP 2	Q1 2028	4,637
Parent OP 3	Q2 2028	5,344
Parent OP 4	Q3 2028	6,270
Four-quarter parent OP	USD million	21,094
Multiple	times	25
Starting-quarter shares	million	5,322
Ceiling	USD per share	99

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Q1 2028: four-quarter operating-profit derivation

Q1 2028 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q1 2028	4,637
Parent OP 2	Q2 2028	5,344
Parent OP 3	Q3 2028	6,270
Parent OP 4	Q4 2028	6,977
Four-quarter parent OP	USD million	23,229
Multiple	times	25
Starting-quarter shares	million	5,335
Ceiling	USD per share	109

Q2 2028: four-quarter operating-profit derivation

Q2 2028 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q2 2028	5,344
Parent OP 2	Q3 2028	6,270
Parent OP 3	Q4 2028	6,977
Parent OP 4	Q1 2029	6,389
Four-quarter parent OP	USD million	24,981
Multiple	times	25
Starting-quarter shares	million	5,348
Ceiling	USD per share	117

Q3 2028: four-quarter operating-profit derivation

Q3 2028 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q3 2028	6,270
Parent OP 2	Q4 2028	6,977
Parent OP 3	Q1 2029	6,389
Parent OP 4	Q2 2029	7,316
Four-quarter parent OP	USD million	26,953
Multiple	times	25
Starting-quarter shares	million	5,362
Ceiling	USD per share	126

Q4 2028: four-quarter operating-profit derivation

Q4 2028 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q4 2028	6,977
Parent OP 2	Q1 2029	6,389
Parent OP 3	Q2 2029	7,316
Parent OP 4	Q3 2029	8,514
Four-quarter parent OP	USD million	29,196
Multiple	times	25
Starting-quarter shares	million	5,375
Ceiling	USD per share	136

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Q1 2029: four-quarter operating-profit derivation

Q1 2029 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q1 2029	6,389
Parent OP 2	Q2 2029	7,316
Parent OP 3	Q3 2029	8,514
Parent OP 4	Q4 2029	9,441
Four-quarter parent OP	USD million	31,660
Multiple	times	25
Starting-quarter shares	million	5,388
Ceiling	USD per share	147

Q2 2029: four-quarter operating-profit derivation

Q2 2029 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q2 2029	7,316
Parent OP 2	Q3 2029	8,514
Parent OP 3	Q4 2029	9,441
Parent OP 4	Q1 2030	8,402
Four-quarter parent OP	USD million	33,672
Multiple	times	25
Starting-quarter shares	million	5,402
Ceiling	USD per share	156

Q3 2029: four-quarter operating-profit derivation

Q3 2029 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q3 2029	8,514
Parent OP 2	Q4 2029	9,441
Parent OP 3	Q1 2030	8,402
Parent OP 4	Q2 2030	9,587
Four-quarter parent OP	USD million	35,943
Multiple	times	25
Starting-quarter shares	million	5,415
Ceiling	USD per share	166

Q4 2029: four-quarter operating-profit derivation

Q4 2029 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q4 2029	9,441
Parent OP 2	Q1 2030	8,402
Parent OP 3	Q2 2030	9,587
Parent OP 4	Q3 2030	11,103
Four-quarter parent OP	USD million	38,532
Multiple	times	25
Starting-quarter shares	million	5,429
Ceiling	USD per share	177

Q1 2030: four-quarter operating-profit derivation

Q1 2030 complete chain (USD millions; shares million; ceiling USD).

Term	Quarter / unit	Value
Parent OP 1	Q1 2030	8,402
Parent OP 2	Q2 2030	9,587
Parent OP 3	Q3 2030	11,103
Parent OP 4	Q4 2030	12,288
Four-quarter parent OP	USD million	41,380
Multiple	times	25
Starting-quarter shares	million	5,442
Ceiling	USD per share	190

Nineteen same-build diagnostic outcomes

Each case changes only the named existing CPU or initial-share control and recomputes the same eighteen-quarter operating build and fifteen complete windows. These are sensitivities, not alternative selected forecasts or new bank targets. The first row reproduces the selected economics.

The ceiling column is displayed in whole USD; the difference column uses whole US cents per share so a nonzero sub-dollar effect does not disappear into a false zero. The technical supplement shows the six-decimal values. Removing the aggregate 70 million proxy explores uncertain claim overlap; it does not authorize a new published denominator. The gross DOC case assumes 241 million extra shares as a stress and does not predict settlement.

CPU probability, premium, exposure, overlap, lost units, manufacturing retention and commercial costs are varied separately. Their effects remain limited because the eligible pool and phase are finite and the cost bridge pays real production and support expense.

Q4 2027 diagnostic ceilings (ceiling USD; difference US cents per share; OP USD million; shares million).

Case	Ceiling, USD	Difference, US cents	Four-quarter parent OP	Starting shares, million
Selected saved economics; JPM review retained	99	0	21,094	5,322
CPU probability 0%	99	-9	21,075	5,322
CPU probability 50%	99	4	21,102	5,322
CPU probability 100%	99	16	21,128	5,322
Conditional premium 5%	99	-8	21,077	5,322
Conditional premium 15%	99	8	21,110	5,322
Eligible CCPG cohort 10%	99	-4	21,084	5,322
Eligible CCPG cohort 30%	99	4	21,103	5,322
Price overlap 0%	99	16	21,127	5,322
Price overlap 100%	99	-16	21,060	5,322
Eligible unit loss 0%	99	7	21,109	5,322
Eligible unit loss 3%	99	-14	21,063	5,322
Price GP retained 15%	99	-9	21,074	5,322
Price GP retained 50%	99	13	21,120	5,322
Price commercial cost 8%	99	-2	21,090	5,322
Initial shares +5%	94	-472	21,094	5,588
Initial shares +10%	90	-901	21,094	5,854

Case	Ceiling, USD	Difference, US cents	Four-quarter parent OP	Starting shares, million
Remove aggregate 70M proxy: diagnostic only	100	134	21,094	5,251
Contingent gross DOC +241M: diagnostic only	95	-434	21,094	5,566

Current review comparison

The October review leaves the selected Q4 2027 ceiling at USD 99 per share, an exact economic change of 0%. The four parent-economic OP terms, 25 times multiple and starting-quarter share convention are unchanged. The analysis clarifies the prospective ASIC run rate, program overlap, financing limitations and aggregate share-proxy uncertainty without forcing a numerical revision.

Same-quarter, same-basis comparison (USD per share and whole percentages).

Quarter	Previous ceiling, USD	Updated ceiling, USD	Economic change, %	Analytical Base	Excel Base
Q4 2027	99	99	0	72	72

No verified current market-price snapshot is available for this report. The earnings ceilings are therefore presented without a current-price return calculation.

Technical supplement: units, precision and the CPU calculation

The following tables reconcile at the precision shown. Full-precision values remain in the linked model. The source model stores operating amounts in USD billions; the reader tables multiply them by 1,000 to show USD millions. Valuation converts the same units consistently. True zeros are displayed as zero; nonzero sub-unit values are displayed as less than one in main reader tables.

The price-revenue term uses eligible reference CCPG revenue times retained units, conditional premium, the non-overlapping share and phase. Lost-unit revenue is deducted. Price manufacturing cost consumes 70% of incremental price revenue. Lost units save 40% of manufacturing cost while the rest stays paid. The commercial and lost-unit expense terms use the selected 5% rates. All conditional results are weighted by the retained 35% probability.

This calculation is a finite analytical branch on an existing product vector. It does not establish issuer-wide price guidance, extra units, a new bank-event contribution or self-funding capacity.

Selected CPU controls (ratios and shares as labeled).

Control	Value
probability	0.350000
premium	0.100000
eligible_fraction	0.200000
overlap	0.500000
unit_loss	0.010000
price_GP_retention	0.300000
price_commercial_cost	0.050000
lost_unit_GP	0.600000
lost_unit_opex_saving	0.050000
initial_shares_M	5,256.000000

Conditional CPU outcomes; USD millions except phase.

Quarter	Phase	Conditional net R	Conditional GP	Conditional opex	Conditional OP
Q3 2026	0.000000	0.000000	0.000000	0.000000	0.000000
Q4 2026	0.500000	33.970000	7.611000	1.698500	5.912500
Q1 2027	1.000000	64.306000	14.407800	3.215300	11.192500
Q2 2027	1.000000	70.152000	15.717600	3.507600	12.210000
Q3 2027	1.000000	75.998000	17.027400	3.799900	13.227500
Q4 2027	1.000000	81.844000	18.337200	4.092200	14.245000
Q1 2028	1.000000	67.782000	15.186600	3.389100	11.797500
Q2 2028	1.000000	73.944000	16.567200	3.697200	12.870000
Q3 2028	1.000000	80.106000	17.947800	4.005300	13.942500
Q4 2028	1.000000	86.268000	19.328400	4.313400	15.015000
Q1 2029	0.500000	36.498000	8.177400	1.824900	6.352500
Q2 2029	0.500000	39.816000	8.920800	1.990800	6.930000
Q3 2029	0.500000	43.134000	9.664200	2.156700	7.507500
Q4 2029	0.500000	46.452000	10.407600	2.322600	8.085000
Q1 2030	0.000000	0.000000	0.000000	0.000000	0.000000
Q2 2030	0.000000	0.000000	0.000000	0.000000	0.000000
Q3 2030	0.000000	0.000000	0.000000	0.000000	0.000000
Q4 2030	0.000000	0.000000	0.000000	0.000000	0.000000

Probability-weighted CPU outcomes; USD millions except phase.

Quarter	Expected R	Expected GP	Expected opex	Expected OP
Q3 2026	0.000000	0.000000	0.000000	0.000000
Q4 2026	11.889500	2.663850	0.594475	2.069375
Q1 2027	22.507100	5.042730	1.125355	3.917375
Q2 2027	24.553200	5.501160	1.227660	4.273500
Q3 2027	26.599300	5.959590	1.329965	4.629625
Q4 2027	28.645400	6.418020	1.432270	4.985750
Q1 2028	23.723700	5.315310	1.186185	4.129125
Q2 2028	25.880400	5.798520	1.294020	4.504500
Q3 2028	28.037100	6.281730	1.401855	4.879875
Q4 2028	30.193800	6.764940	1.509690	5.255250
Q1 2029	12.774300	2.862090	0.638715	2.223375
Q2 2029	13.935600	3.122280	0.696780	2.425500
Q3 2029	15.096900	3.382470	0.754845	2.627625
Q4 2029	16.258200	3.642660	0.812910	2.829750
Q1 2030	0.000000	0.000000	0.000000	0.000000
Q2 2030	0.000000	0.000000	0.000000	0.000000
Q3 2030	0.000000	0.000000	0.000000	0.000000
Q4 2030	0.000000	0.000000	0.000000	0.000000

Technical supplement: all parent-OP chains at shown precision

Each row includes all four terms, their sum, the selected multiple, starting-quarter shares and ceiling. Six-decimal printed terms may differ from their sum by the displayed rounding residue. Full precision is preserved in the linked model.

Complete chains 1-5; OP in USD millions, shares in millions.

Valuation quarter	Four parent OP terms	Four-quarter OP	Multiple / shares	Ceiling, USD
Q3 2026	1,533.000000 + 2,287.569375 + 3,066.917375 + 3,595.273500	10,482.760250	25 / 5,256.000000	49.860922
Q4 2026	2,287.569375 + 3,066.917375 + 3,595.273500 + 4,313.629625	13,263.389875	25 / 5,269.091010	62.930161
Q1 2027	3,066.917375 + 3,595.273500 + 4,313.629625 + 4,841.985750	15,817.806250	25 / 5,282.214626	74.863515
Q2 2027	3,595.273500 + 4,313.629625 + 4,841.985750 + 4,637.329125	17,388.218000	25 / 5,295.370929	82.091596
Q3 2027	4,313.629625 + 4,841.985750 + 4,637.329125 + 5,343.904500	19,136.849000	25 / 5,308.560000	90.122599

Complete chains 6-10; OP in USD millions, shares in millions.

Valuation quarter	Four parent OP terms	Four-quarter OP	Multiple / shares	Ceiling, USD
Q4 2027	4,841.985750 + 4,637.329125 + 5,343.904500 + 6,270.479875	21,093.699250	25 / 5,321.781921	99.091336
Q1 2028	4,637.329125 + 5,343.904500 + 6,270.479875 + 6,977.055250	23,228.768750	25 / 5,335.036773	108.850087
Q2 2028	5,343.904500 + 6,270.479875 + 6,977.055250 + 6,389.223375	24,980.663000	25 / 5,348.324638	116.768636
Q3 2028	6,270.479875 + 6,977.055250 + 6,389.223375 + 7,316.425500	26,953.184000	25 / 5,361.645600	125.675893
Q4 2028	6,977.055250 + 6,389.223375 + 7,316.425500 + 8,513.627625	29,196.331750	25 / 5,374.999740	135.796898

Complete chains 11-15; OP in USD millions, shares in millions.

Valuation quarter	Four parent OP terms	Four-quarter OP	Multiple / shares	Ceiling, USD
Q1 2029	6,389.223375 + 7,316.425500 + 8,513.627625 + 9,440.829750	31,660.106250	25 / 5,388.387140	146.890458
Q2 2029	7,316.425500 + 8,513.627625 + 9,440.829750 + 8,401.600000	33,672.482875	25 / 5,401.807885	155.838951
Q3 2029	8,513.627625 + 9,440.829750 + 8,401.600000 + 9,587.200000	35,943.257375	25 / 5,415.262056	165.934986
Q4 2029	9,440.829750 + 8,401.600000 + 9,587.200000 + 11,102.800000	38,532.429750	25 / 5,428.749737	177.446151
Q1 2030	8,401.600000 + 9,587.200000 + 11,102.800000 + 12,288.400000	41,380.000000	25 / 5,442.271012	190.086087

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Technical supplement: diagnostic precision

These values retain the same selected method and make the small effects of bounded CPU controls and claim sensitivities visible without treating them as new forecasts.

Nineteen active-window diagnostic observations (OP USD millions; shares million; ceiling USD).

Case	Ceiling, USD	Four-quarter parent OP	Starting shares, million
Selected saved economics; JPM review retained	99.091336	21,093.699250	5,321.781921
CPU probability 0%	99.004433	21,075.200000	5,321.781921
CPU probability 50%	99.128580	21,101.627500	5,321.781921
CPU probability 100%	99.252728	21,128.055000	5,321.781921
Conditional premium 5%	99.013123	21,077.049925	5,321.781921
Conditional premium 15%	99.169549	21,110.348575	5,321.781921
Eligible CCPG cohort 10%	99.047884	21,084.449625	5,321.781921
Eligible CCPG cohort 30%	99.134788	21,102.948875	5,321.781921
Price overlap 0%	99.247762	21,126.997900	5,321.781921
Price overlap 100%	98.934910	21,060.400600	5,321.781921
Eligible unit loss 0%	99.162439	21,108.835000	5,321.781921
Eligible unit loss 3%	98.949130	21,063.427750	5,321.781921
Price GP retained 15%	98.997480	21,073.720060	5,321.781921

Case	Ceiling, USD	Four-quarter parent OP	Starting shares, million
Price GP retained 50%	99.216477	21,120.338170	5,321.781921
Price commercial cost 8%	99.072565	21,089.703412	5,321.781921
Initial shares +5%	94.372701	21,093.699250	5,587.871017
Initial shares +10%	90.083033	21,093.699250	5,853.960113
Remove aggregate 70M proxy: diagnostic only	100.428859	21,093.699250	5,250.905830
Contingent gross DOC +241M: diagnostic only	94.746964	21,093.699250	5,565.798177

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Original cash-flow and shareholder-rights exhibits

The following original filing pages show the separate cash-flow lines, EPS and equity accounting, escrow and conditional rights. They support the stated accounting limitations and do not create a new complete forward funding model.

The Arizona SCIP terms also include minimum-production and inventory obligations with potential volume-related damages. Factory ownership and financing arrangements can therefore create cash or economic obligations even when output is below plan.

Consolidated Condensed Statements of Cash Flows

(In Millions; Unaudited)	Six Months Ended Jun 27, 2026	Six Months Ended Jun 28, 2025
Cash, cash equivalents, and restricted cash, beginning of period	**$ 14,712**	**$ 8,249**
Cash flows provided by (used for) operating activities:		
Net income (loss)	(15,129)	(3,911)
Adjustments to reconcile net income (loss) to net cash provided by operating activities:		
Depreciation	5,891	5,213
Share-based compensation	1,307	1,348
Restructuring and other charges	3,967	382
Amortization of intangibles	469	474
(Gains) losses on equity investments, net	111	(390)
Mark-to-market (gains) losses on Escrowed Shares	13,619	—
Deferred taxes	(27)	106
Impairments and net (gain) loss on retirement of property, plant, and equipment	165	482
Changes in assets and liabilities:		
Accounts receivable	(221)	1,004
Inventories	(874)	99
Accounts payable	310	114
Accrued compensation and benefits	(372)	1,022
Income taxes	(477)	(1,338)
Other assets and liabilities	(637)	(1,742)
Total adjustments	**23,231**	**6,774**
Net cash provided by (used for) operating activities	**8,102**	**2,863**
Cash flows provided by (used for) investing activities:		
Additions to property, plant, and equipment	(6,192)	(8,733)
Proceeds from capital-related government incentives	167	964
Acquisitions, net of cash acquired	(596)	—
Purchases of short-term investments	(12,737)	(5,730)
Sales of short-term investments	11,009	1,948
Maturities of short-term investments	7,724	6,627
Proceeds from divestitures, net	—	1,935
Other investing	(44)	984
Net cash provided by (used for) investing activities	**(669)**	**(2,005)**
Cash flows provided by (used for) financing activities:		
Issuance of commercial paper, net of issuance costs	—	3,493
Repayment of commercial paper	—	(1,496)
Payments on finance leases	(832)	(9)
Partner contributions	4,082	2,238
Partner distributions	(14,339)	(91)
Additions to property, plant, and equipment	(1,423)	(1,962)
Issuance of term debt, net of issuance costs	13,000	—
Repayment of term debt	(9,000)	(1,500)
Proceeds from sales of common stock through employee equity incentive plans	427	491
Restricted stock unit withholdings	(617)	(181)
Other financing	154	(397)
Net cash provided by (used for) financing activities	**(8,548)**	**586**
Net increase (decrease) in cash, cash equivalents, and restricted cash	**(1,115)**	**1,444**
Cash, cash equivalents, and restricted cash, end of period[1]	**$ 13,597**	**$ 9,693**

H1 consolidated cash-flow statement. Investing PPE payments, financing PPE payments, partner distributions/contributions and finance-lease principal remain separate. The noncash escrow mark-to-market is reconciled separately. These cash PPE flows do not by themselves equal gross capital-investment guidance. Source values are USD millions.

Arizona SCIP

We consolidate the results of an Arizona limited liability company (Arizona SCIP), a VIE, into our Consolidated Condensed Financial Statements because we are the primary beneficiary. Contributions and distributions made between Arizona SCIP and investors are generally made based on our and Brookfield's proportional ownership interest in Arizona SCIP.

We are the primary beneficiary of two new chip factories still partially under construction by Arizona SCIP; we have the right to direct how and for what purpose the underlying assets will be used and to purchase 100% of the wafer output. During the year ended December 27, 2025, Arizona SCIP began placing manufacturing assets into service, making the assets available for our use. The production contract commenced in the first quarter of 2026 and we are required to both operate Arizona SCIP at minimum production levels and limit excess inventory held on site or we will be subject to certain volume-related damages payable to Arizona SCIP.

The property, plant, and equipment assets owned by Arizona SCIP and included in our Consolidated Condensed Balance Sheets as of June 27, 2026, which are not available to us as they can be used only to settle obligations of the VIE, consisted of construction in progress assets of $6.0 billion ($5.6 billion as of December 27, 2025) and assets that have been placed into service of $13.8 billion ($12.2 billion as of December 27, 2025). The remaining assets and liabilities of Arizona SCIP were eliminated in our Consolidated Condensed Balance Sheets.

Mobileye

We consolidate our majority-owned subsidiary Mobileye pursuant to the voting interest model. In the first quarter of 2026, the non-cash impairment of goodwill related to our Mobileye reporting unit was attributed to Intel and to non-controlling interest holders based on our proportional ownership (see "Note 10: Goodwill" within Notes to Consolidated Condensed Financial Statements).

Note 4 : Earnings (Loss) Per Share and Stockholders' Equity

We computed basic earnings (loss) per share of common stock based on the weighted average number of shares of common stock that, during the period, are outstanding or are considered not contingently issuable based on the terms of the Warrant and Common Stock Agreement (U.S. Government Agreement). We computed diluted earnings (loss) per share of common stock based on the weighted average number of shares of common stock outstanding plus potentially dilutive shares of common stock outstanding during the period, if applicable.

	Three Months Ended		Six Months Ended	
(In Millions, Except Per Share Amounts)	**Jun 27, 2026**	**Jun 28, 2025**	**Jun 27, 2026**	**Jun 28, 2025**
Net income (loss)	**$ (10,848)**	**$ (3,024)**	**$ (15,129)**	**$ (3,911)**
Less: net income (loss) attributable to non-controlling interests	185	(106)	(368)	(172)
Net income (loss) attributable to Intel	**$ (11,033)**	**$ (2,918)**	**$ (14,761)**	**$ (3,739)**
Weighted average shares of common stock outstanding—basic	**5,104**	**4,369**	**5,108**	**4,356**
Weighted average shares of common stock outstanding—diluted	**5,104**	**4,369**	**5,108**	**4,356**
Earnings (loss) per share attributable to Intel—basic	**$ (2.16)**	**$ (0.67)**	**$ (2.89)**	**$ (0.86)**
Earnings (loss) per share attributable to Intel—diluted	**$ (2.16)**	**$ (0.67)**	**$ (2.89)**	**$ (0.86)**

Potentially dilutive shares of common stock from employee equity incentive plans and stock issuances are determined by applying the treasury stock method to the assumed exercise of outstanding stock options, the assumed vesting of outstanding RSUs, and the assumed issuance of common stock under the stock purchase plan.

The dilutive impact from the assumed issuance of common stock associated with contractual transactions, including the release of Escrowed Shares under Secure Enclave, that settled during the three and six months ended June 27, 2026 is determined from the date of the beginning of the period to the date the Escrowed Shares are released. We reflect these contractual transactions in the calculation of diluted EPS, as applicable, using the treasury stock method.

Due to our net losses in the three and six months ended June 27, 2026 and June 28, 2025, the assumed exercise of outstanding stock options, the assumed vesting of outstanding RSUs, the assumed issuance of common stock under the stock purchase plan, and the assumed issuance of common stock associated with equity issuance agreements, including Escrowed Shares released, as applicable, had an anti-dilutive effect on and were excluded from the computation of diluted earnings (loss) per share attributable to Intel. In the three and six months ended June 27, 2026, 70 million and 67 million anti-dilutive shares were excluded from the computation of earnings (loss) per share, respectively. In the three months ended June 28, 2025, securities that would have been anti-dilutive were insignificant and in the six months ended June 28, 2025, 158 million anti-dilutive shares were excluded from the computation of earnings (loss) per share.

EPS and stockholders-equity note. Reported average EPS shares and excluded aggregate anti-dilutive equity instruments have distinct accounting roles; overlap with escrow is possible. The same page also describes Arizona SCIP minimum-production/inventory obligations and potential volume-related damages. This page does not establish a new forward diluted denominator.

Escrowed Shares Issued to the U.S. Government

Per the terms of our previously-disclosed U.S. Government Agreement that we entered into with the DOC on August 22, 2025, upon receipt of cash proceeds for our performance under Secure Enclave, we released 7 million and 13 million Escrowed Shares during the three and six months ended June 27, 2026, respectively.

During the three and six months ended June 27, 2026, we recognized $12.5 billion and $13.6 billion, respectively, of losses related to the net change in fair value of both Escrowed Shares released and Escrowed Shares still held in escrow at June 27, 2026. The fair value of the Escrowed Shares derivative liability was $15.6 billion at June 27, 2026 and $2.7 billion at December 27, 2025, which we have recognized within *other accrued liabilities* and *other long-term liabilities*.

Of the 143 million Escrowed Shares not yet released as of June 27, 2026, 71 million are considered not contingently issuable based on the terms of the U.S. Government Agreement and, as such, have been included in our computation of basic earnings (loss) per share for the three and six months ended June 27, 2026. The remaining 71 million Escrowed Shares not yet released are considered contingently issuable based on the DOC's disbursements under Secure Enclave and, therefore, are excluded from basic and diluted earnings (loss) per share until the contingencies are met.

We also issued warrants to the DOC to purchase up to 241 million shares of our common stock at $20.00 per share (Warrants) that become exercisable if we cease to directly or indirectly own at least 51% of our foundry business. Potentially dilutive shares issuable under the Warrants have been excluded from all basic and diluted earnings (loss) per share calculations for the three and six months ended June 27, 2026 as the Warrants are neither currently nor expected to become exercisable. If exercised, we can elect to settle the Warrants in net cash or net shares.

Note 5 : Other Financial Statement Details

Restricted Cash

We have $723 million of restricted cash, of which $170 million is included in *other current assets* and $553 million is included in *other long-term assets* within the Consolidated Condensed Balance Sheets as of June 27, 2026 ($447 million as of December 27, 2025 is included in *other long-term assets*). Such restricted cash is also included within *cash, cash equivalents, and restricted cash* in the Consolidated Condensed Statements of Cash Flows for the six months ended June 27, 2026. The restricted cash serves as collateral for third-party arrangements we entered into and is considered legally restricted due to limitations on usage and withdrawal.

Accounts Receivable

We may sell certain of our accounts receivable on a non-recourse basis to third-party financial institutions. We record these transactions as sales of receivables and present cash proceeds as *cash provided by operating activities* in the Consolidated Condensed Statements of Cash Flows. We did not sell any accounts receivable under non-recourse factoring arrangements during the first six months of 2026 ($1.6 billion were sold during the first six months of 2025).

Inventories

(In Millions)	Jun 27, 2026	Dec 27, 2025
Raw materials	$ 1,046	$ 993
Work in process	8,685	7,840
Finished goods	2,761	2,785
Total inventories	**$ 12,492**	**$ 11,618**

Property, Plant, and Equipment

We invest in and deploy manufacturing assets in response to manufacturing capacity requirements based upon short- and long-term demand forecasts and economic returns relative to capital outlays. We regularly monitor, evaluate, and adjust our manufacturing capacity footprint in response to a number of volatile factors that impact our business, including demand for our products and services and the state of the semiconductor industry as a whole. In connection with the preparation of our Consolidated Condensed Financial Statements for the second quarter of 2025, we evaluated our process technology node capacities relative to projected market demand for our products and services, and concluded that our manufacturing asset portfolio exceeded manufacturing capacity requirements. Upon performing a re-use assessment, we impaired and accelerated depreciation for certain manufacturing assets. In total, we recorded non-cash impairments and accelerated depreciation charges of $460 million and $337 million, respectively, in the second quarter of 2025, net of certain items. All charges were recognized in *cost of sales* within our Intel Foundry operating segment.

We also incurred $416 million of other non-cash asset impairment and accelerated depreciation charges in the second quarter of 2025 as a direct result of the 2025 Restructuring Plan (see "Note 6: Restructuring and Other Charges" within Notes to Consolidated Condensed Financial Statements). These charges were included as a component of "corporate unallocated expenses" within the *restructuring and other charges* category presented in "Note 2: Operating Segments" within Notes to Consolidated Condensed Financial Statements.

U.S. Government escrow note and manufacturing-footprint discussion.143 million unreleased shares include71 million already in the basic EPS calculation. These source amounts must not be added again to the EPS average. The page also discloses up to 241 million DOC warrants at USD 20, exercisable if Intel ceases to own at least 51% of Foundry, with net-cash or net-share settlement permitted; no automatic denominator addition is inferred.

Original bank risk and methodology page

The third supplied J.P.Morgan page is retained as private source context alongside the two earlier pages. Its valuation and peer framework are the broker's work; the selected report continues to use the retained parent-economic OP method. Only three pages of the bank report were provided.

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North America Equity Research
18 October 2026

J.P.Morgan

Investment Thesis, Valuation and Risks

Intel *(Neutral; Price Target: $85.00)*

Investment Thesis
Our Neutral rating reflects our view that risk/reward is relatively balanced. Since Lip Bu Tan's appointment to CEO, we believe the team's execution and competitiveness in its core client/datacenter compute market has improved (DCAI/server emerging as the largest profit pool with record Y/Y growth and strong LTA-backed visibility), execution on next-gen manufacturing has significantly improved (yields, manufacturability, foundry process/ design rule compatibility, advanced packaging), and the team has several initiatives (notably ASIC services) that exploit INTC's strong IP portfolio, SoC design capabilities, and leading-edge internal manufacturing. We continue to monitor the team's execution on its datacenter CPU roadmap, overall AI compute strategy, external foundry customer engagements, ASIC services design-win pipeline, and potential strengthening of its portfolio with datacenter networking capabilities going forward.

Valuation
Our Dec-27 PT of $85 is based on a group multiple of 20-25x (24x) P/E, times $3.60 EPS in CY28.

Risks to Rating and Price Target

- **Upside Risks:**
  - Faster-than-expected execution on the datacenter CPU roadmap and improved competitive positioning vs. AMD, which could drive a stronger DCAI revenue/ margin trajectory than currently modeled.
  - Named external foundry anchor customer wins on leading-edge nodes, which would materially improve Intel Foundry economics and validate the ongoing capex inflection.
  - Accelerated traction in the ASIC services design-win pipeline with named hyperscaler/AI-lab customers, supporting a scaled multi-year revenue ramp.
- **Downside Risks:**
  - Delays or execution issues on next-generation node ramp, yield/performance, or product mix extension, which would pressure the GM trajectory.
  - Deeper or more prolonged memory-driven BOM inflation pressuring PC/consumer demand, with Client segment economics eroding faster than modeled.
  - Continued share loss to AMD in both client and server CPU, with the next-generation competitive dynamic still unresolved.

J.P.Morgan, October 18, 2026, third supplied page. Investment thesis and risks from the incomplete report. The broker valuation methodology is shown as source context only and does not replace the retained company method.

Source coverage and remaining gaps

Both six-page issuer prepared-remarks PDFs from April 23 and July 23 have been retained and read. Saved secondary Q&A displays were read through operator closing for both calls. Official audio and an issuer-certified complete Q&A transcript were not independently compared. The July provider labels its page as a first-half transcript while displaying 61 segments through closing; that ambiguity remains visible.

The latest-quarter original filing, primary release, relevant financial, segment, shareholder-claim and funding sections and next-results notice anchor the actuals and guidance. The new bank input consists of three original supplied pages; the full report is unavailable. Historical technical and press exhibits remain attributed reproductions rather than independently obtained complete IEEE papers or accepted customer economics.

Forward product volumes, capture, allocated margins and yields remain low-confidence analytical inputs. A full forward cash, debt, lease, capex and funding engine is missing. The aggregate equity proxy may overlap escrow; the minority claim is approximate. These limits prevent claims of a precise fully diluted registry, fully funded factory plan or certain project economics.

Private original source images retain their printed numbers and formatting. They are not recreated slides and are not intended for public licensed-exhibit export.

Source register and original exhibit provenance

I01 | July 23, 2026. Intel Q2 2026 release and Q3 outlook.

I02 | Quarter ended June 27, 2026. Intel original Q2 Form 10-Q.

I03 | April 23, 2026. Issuer Q1 prepared remarks; six pages.

I06 | October 2026 notice; future October 29 result. Issuer Q3 earnings notice.

I07 | July 23, 2026. Issuer Q2 prepared remarks; six pages.

S08 | April 23, 2026. Secondary Q1 Q&A display read through closing; audio not compared.

S09 | July 23, 2026. Secondary Q2 Q&A display through closing; provider completeness ambiguity retained.

H01 | June 8, 2026. Reuters-carried report on potential Google and Nvidia sourcing.

H02 | July 21, 2026. Intel and Fortinet collaboration.

H03 | September 7, 2026. Intel and ASML high-NA readiness.

H04 | September 16, 2026. Reported exploratory SK hynix manufacturing discussion.

H05 | October 12, 2026. Issuer D-Series and agentic AI materials.

H06 | October 12, 2026. Commercial Times CPU-pricing table; prior dated source.

H07 | August 18, 2026. Irrational Analysis optical-I/O discussion with reproduced technical figures.

H08 | April 24, 2026. Irrational Analysis CPU and EMIB discussion with reproduced source figures.

H09 | June 2026 technical presentation. Intel 18A platform discussion.

H10 | Prior technical source; full original not obtained. IEEE optical-I/O paper reference.

JPM | J.P.Morgan, October 18, 2026. Three owner-supplied original pages, privately preserved. The full report is unavailable. Rating, EPS, bank multiple, price target and dated bank quote remain attributed source metadata.

Original exhibit | JPM-HVFhKUuXgAA64aS.jpg: J.P.Morgan, October 18, 2026, first supplied page. Broker execution assessment and capital/dilution context. Its rating, price target, EPS and peer multiple are not imported into the company model. SHA256 416c7e2536b08652f92e2cd92d658167e7548bce88e6d928250edc0f46b757e4.

Original exhibit | JPM-HVFhMuTWwAAOe6C.png: J.P.Morgan, October 18, 2026, second supplied page. Broker comments on server demand, product mix, manufacturing progress, ASIC services and capital-market risk. These comments do not establish new accepted foundry or packaging invoices. SHA256 b268da4cd6c4f36b79e52f29209f10309d468f8f5dbd09762ecfbf2ca6aa9a10.

Original exhibit | I02: Q2 and H1 consolidated GAAP income statement. Cost of sales, R&D, marketing/administration and restructuring are separate from below-OP financing and escrow mark-to-market. Source values are USD millions. SHA256 74718867eca730131e74645aa5ab120a87b3857119fa838325c28289dfd1ec97.

Original exhibit | I02: Intel Q2/H1 segment revenue and OP reconciliation, including corporate unallocated SBC and intersegment eliminations. PDF page 13; printed note page 11. SHA256 5ff71d43882ae9ba2df11d78f2ef91d7a9676cebf109b6e83a4ea1b439470fb8.

Original exhibit | I07: July 23 primary prepared remarks, preceding page of the preserved cost/guide exhibit. Read with page5 so the Panther Lake cost statement is complete. Dated management targets are distinct from accepted external revenue. SHA256 a8d1b3106fae27c9bb1cb3b532f8d6d9b34658db7bb391edc2c6f667cf5b0845.

Original exhibit | I07: July 23 management prepared remarks: Panther Lake SKU cost progress, Q3 non-GAAP guidance, NCI and capital outlook. These are dated July statements, not new October guidance. SHA256 4e298d6bb617f2371777710cc1b647fd87beeb0a8e93988bf3705e94f83bccb8.

Original exhibit | H06: Commercial Times CPU-pricing table, historical October 12 source. The Intel and Qualcomm effective-date labels and undetermined AMD entry are channel context, not a verified issuer-wide realized ASP series. Original Chinese source pixels are preserved in this private exhibit. SHA256 24d603a52be3997da5a96bdc57e0c43267098d1064389be3272223cf28c89a51.

Original exhibit | H08: Historical Intel EMIB roadmap reproduced in the April 24 Irrational Analysis discussion. Larger package bodies, more HBM and additional bridges require more manufacturing and qualification resources. The roadmap is not a priced accepted-volume disclosure. Private source reproduction. SHA256 406b9473f3f22da10547b284834333f717245c97f5ca3c144871c0ce2af94b61.

Original exhibit | H07: Historical open-cavity and glass optical-I/O figure reproduced in the August 18 Irrational Analysis discussion. The measured glass-path insertion-loss observation consumes optical margin; it does not independently establish production cost or accepted Intel revenue. SHA256 762221b0c2181a1ff0eca40a26ae45c7363ea242045e8aa99a9480159f42430c.

Original exhibit | H07: Historical BER sampling figure reproduced in the same August 18 discussion. A favorable measurement at the best sampling point does not establish all-lane timing, temperature, reliability or production yield. The full original technical paper and audio are not independently certified by this exhibit. SHA256 1bb0846eed405161e23936627d2f6e32c7962f4e57e8039ea48dc239e9fd4dc7.

Original exhibit | I02: H1 consolidated cash-flow statement. Investing PPE payments, financing PPE payments, partner distributions/contributions and finance-lease principal remain separate. The noncash escrow mark-to-market is reconciled separately. These cash PPE flows do not by themselves equal gross capital-investment guidance. Source values are USD millions. SHA256 6738bfb136c0b519ee10a6e7d6aee45d9e8c1aefaca7eee6853cbb01c1f0c98d.

Original exhibit | I02: EPS and stockholders-equity note. Reported average EPS shares and excluded aggregate anti-dilutive equity instruments have distinct accounting roles; overlap with escrow is possible. The same page also describes Arizona SCIP minimum-production/inventory obligations and potential volume-related damages. This page does not establish a new forward diluted denominator. SHA256 dad19e16e11c4e72acc0a175267ab85487adfa8154a8b0d870fa526783f7e61c.

Original exhibit | I02: U.S. Government escrow note and manufacturing-footprint discussion.143 million unreleased shares include71 million already in the basic EPS calculation. These source amounts must not be added again to the EPS

average. The page also discloses up to 241 million DOC warrants at USD 20, exercisable if Intel ceases to own at least 51% of Foundry, with net-cash or net-share settlement permitted; no automatic denominator addition is inferred. SHA256 ae6b937aa80a9ab7db952598b22f563c74524cd348ca6450bdb5bda8b9e6a139.

Original exhibit | JPM-HVFhPsHWwAAi3MT.jpg: J.P.Morgan, October 18, 2026, third supplied page. Investment thesis and risks from the incomplete report. The broker valuation methodology is shown as source context only and does not replace the retained company method. SHA256 82a194be1e64bfc6189a149bd253220ad0fe953989e96501730dd3224b523cee.